Space Exploration Technologies Corp.

Paving the superhighway to the stars; Initiate at Buy, PO of $235

Initiating Coverage: BUY | PO: 235.00 USD | Price: 162.00 USD

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Launch leadership enables everything else

We initiate coverage of SpaceX (SPCX) with a Buy rating and $235 PO, derived by a long-term DCF considering base, bear, and bull cases (see inside). SpaceX has evolved from a launch company into the foundational enabler of the space economy and the leading provider of space-based applications as a result. SpaceX's extensive moats on reusable launch and proliferated space applications are in our view laying the foundation for Starship and future applications to drive another paradigm shift in capabilities.

Monetizing the mass to orbit moat

SpaceX has demonstrated a unique ability to convert launch and manufacturing capabilities into market-leading, recurring applications businesses, notably Starlink. The result is a powerful flywheel, where launch enables space applications, applications generate cash flow, and those cash flows support further infrastructure investment. While not reflected directly in financials given company accounting, Falcon and Starship launch economics are the primary drivers of SpaceX's ability to develop high-margin application layers on orbit.

It all hinges on the "King of the Cosmos"

The central debate is whether Starship can achieve the reliability, cadence, and economics required to unlock the next phase of growth. Much of SpaceX's long-term opportunity, including Starlink v3 deployment and future compute infrastructure, depend on Starship successfully commercializing full reusability. If achieved, we believe launch costs could decline by an order of magnitude while capacity expands dramatically. If delayed, the timing of many future growth vectors moves materially to the right.

Orbital compute demonstrates differentiated option value

SpaceX's vision for orbital compute creates substantial upside potential, but is also indicative of broader option value realizable by SpaceX's launch moat, vertical integration, and manufacturing scale. Entry into AI infrastructure and applications markets represent attractive opportunities for SpaceX to apply its leading space positioning within rapidly growing and competitive markets. Other emerging and potential space applications could provide additional value in time, again predicated on the ultimate success of Starship as a means of further expanding space access.

Estimates (Dec) (US$)	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**
EPS	0.08	(1.69)	(0.02)	1.37	3.78
EPS Change (YoY)	NA	NM	98.8%	NM	175.9%
Consensus EPS (Bloomberg)			(0.99)	(0.04)	0.50
Consensus EPS (Visible Alpha)			(0.51)	0.15	0.72
Valuation (Dec)					
P/E	2,025.0x	NM	NM	118.2x	42.9x
EV / EBITDA*	217.1x	176.4x	59.5x	24.1x	11.9x
Free Cash Flow Yield*	-0.4%	-1.1%	-2.7%	-5.5%	-6.5%

* For full definitions of *iQmethod*[SM] measures, see page 38.

Stock Data

Price	162.00 USD
Price Objective	235.00 USD
Date Established	7-Jul-2026
Investment Opinion	C-1-9
52-Week Range	147.11 USD - 225.64 USD
Mrkt Val (mn) / Shares Out (mn)	1,209,092 USD / 7,463.5
Free Float	8.6%
Average Daily Value (mn)	NA
BofA Ticker / Exchange	SPCX / NAS
Bloomberg / Reuters	SPCX US / SPCX.OQ
ROE (2026E)	-0.2%
Net Dbt to Eqty (Dec-2025A)	-7.5%

Refer to important disclosures on page 39 to 41. Analyst Certification on page 37. Price Objective Basis/Risk on page 37. 12991046

iQprofile℠ Space Exploration Technologies Corp.

iQ*method℠ – Bus Performance

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	NA	-4.4%	2.5%	8.2%	14.3%
Return on Equity	6.2%	-14.7%	-0.2%	12.3%	26.9%
Operating Margin	3.3%	-13.9%	8.5%	26.0%	37.5%
Free Cash Flow	(5,387)	(13,834)	(32,394)	(66,908)	(78,745)

iQ*method℠ – Quality of Earnings

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	7.3x	NM	NM	2.5x	1.8x
Asset Replacement Ratio	2.9x	3.1x	3.7x	4.6x	4.4x
Tax Rate	NM	NM	NM	5.0%	5.0%
Net Debt-to-Equity Ratio	3.4%	-7.5%	-35.8%	12.2%	46.4%
Interest Cover	0.4x	-1.8x	2.2x	6.2x	8.1x

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	14,015	18,674	40,770	78,207	142,785
% Change	NA	33.2%	118.3%	91.8%	82.6%
Gross Profit	6,019	9,223	25,430	52,764	98,130
% Change	NA	53.2%	175.7%	107.5%	86.0%
EBITDA	5,350	6,584	19,503	48,142	97,699
% Change	NA	23.1%	196.2%	146.8%	102.9%
Net Interest & Other Income	(224)	(1,630)	(3,452)	(3,299)	(6,602)
Net Income (Adjusted)	**796**	**(4,945)**	**(211)**	**17,862**	**49,284**
% Change	**NA**	**NM**	**95.7%**	**NM**	**175.9%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	791	(4,937)	(173)	16,170	44,621
Depreciation & Amortization	3,824	6,701	13,037	23,861	38,257
Change in Working Capital	3,312	9,633	17,934	27,823	44,127
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(2,151)	(4,612)	(14,916)	(23,861)	(38,257)
Capital Expenditure	(11,163)	(20,619)	(48,276)	(110,900)	(167,493)
Free Cash Flow	**-5,387**	**-13,834**	**-32,394**	**-66,908**	**-78,745**
% Change	**NA**	**-156.8%**	**-134.2%**	**-106.5%**	**-17.7%**
Share / Issue Repurchase	12,061	17,514	89,634	0	0
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	(77)	9,131	28,250	50,000	100,000

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	11,385	24,747	102,000	85,092	106,347
Trade Receivables	NA	NA	NA	NA	NA
Other Current Assets	4,723	6,205	41,173	77,729	142,550
Property, Plant & Equipment	21,147	42,602	82,647	169,687	298,923
Other Non-Current Assets	19,111	18,384	65,074	124,826	227,900
Total Assets	**56,366**	**91,938**	**290,894**	**457,334**	**775,720**
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	16,100	26,477	103,032	197,638	360,836
Long-Term Debt	12,262	21,659	54,138	104,138	204,138
Other Non-Current Liabilities	2,200	2,477	0	0	0
Total Liabilities	**30,562**	**50,613**	**157,170**	**301,776**	**564,974**
Total Equity	**25,804**	**41,325**	**133,724**	**155,558**	**210,746**
Total Equity & Liabilities	**56,366**	**91,938**	**290,894**	**457,334**	**775,720**

* For full definitions of *iQmethod*℠ measures, see page 38.

Company Sector

Satellite Services

Company Description

SpaceX is an integrated provider of launch and space systems, communications, and AI with a goal of making human life interplanetary. The company operates under three segments: Space, including launch of its Falcon, Dragon, and Starship vehicles, Connectivity, operating Starlink and Starshield and Mobile connectivity service, and AI, which includes development of data center compute, the company's Grok large language model, and other applications.

Investment Rationale

SpaceX has evolved from a launch company into the foundational enabler of the space economy and the leading provider of space-based applications as a result. SpaceX's extensive moats on reusable launch and proliferated space applications are in our view laying the foundation for Starship and future applications to drive another paradigm shift in capabilities.

Stock Data

Average Daily Volume	NA

Quarterly Earnings Estimates

	2025	2026
Q1	-0.18A	-1.10A
Q2	-0.34A	-0.16E
Q3	-0.36A	0.21E
Q4	-0.79A	0.27E

Investment thesis

We initiate coverage of SpaceX (SPCX) with a Buy rating and a PO of $235. SpaceX is an integrated provider of launch and space systems, communications, and AI with a goal of making human life interplanetary. The company operates under three segments: Space, including launch of its Falcon family of vehicles, Dragon spacecraft, and Starship; Connectivity, operating Starlink and Starshield as well as Mobile connectivity service; and AI, which includes development of data center compute, the company's Grok large language model, and other applications.

Our PO of $235 is based on an average long-term DCF of base, bull, and bear cases for different revenue and cash generation scenarios between now and 2045. Our DCF factors in an 18% discount rate in the base case, 28% discount rate in the bull case, and 14% discount rate in the bear case and assigns an equal weighting to each case. Our DCF factors in a long-term growth rate of 5% in the base, bull, and bear cases. In our view, the varied discount rates fairly reflect the relative uncertainty associated with each scenario, with base case discount rate in line with the median of the peer group, bull case discount rate in line with the higher growth and higher risk peers, and bear case discount rate in line with more established, lower execution risk peers.

Upside risks to our PO

Upside risks to our PO are better-than-expected cost cutting and margin expansion, well-integrated M&A activity, market share gains among launch, satellite services, and/or AI applications, and better-than-expected commercialization of the Starship launch vehicle.

Downside risks to our PO

Downside risks to our PO are production delays, inability to achieve M&A synergies, potential impact to capex / FCF from space systems and/or AI investments, regulatory risks to launch cadence and/or satellite service deployment, and setbacks to Starship and/or satellite program development.

Investment positives

(+) Strong moat on reusable launch underpins services businesses

We see SpaceX's launch business as the foundation of its competitive advantage and its most enduring moat against competitors in the space economy. The Falcon family of vehicles has established SpaceX as the global preeminent launch provider and space enabler, flying over 650 launches to date at 99%+ mission success and delivering 80%+ global mass to orbit in recent years. The combination of proven out reusable hardware (~35 reflights by the most reused Falcon booster), vertical integration, and high launch cadence has enabled material reductions in launch cost to orbit while rapidly scaling activity in space and delivering reliability of orbital access.

While Falcon itself is years ahead of capabilities that can be deployed by competitors, Starship would represent a further paradigm shift for space access when it is successfully commercialized at scale. Full reusability of both booster and upper stage could deliver a further order-of-magnitude decrease in per-kg launch costs while enabling increased flight cadence. Starship's enhanced capabilities and cost effectiveness are integral to planned constellations including next-generation Starlink v3 and Mobile satellites and potential orbital compute platforms. Importantly, despite accounting of launch costs driving visibly low financial performance in the launch segment, access to scaled launch has fundamentally enabled the comparatively better financial performance of Starlink to date, while also supporting third-party commercial, civil, and national security customers.

Exhibit 1: Starship's increased scale vs. Falcon and full reusability could drive launch costs into hundreds of dollars per kg
SpaceX Starship

Source: SpaceX

BofA GLOBAL RESEARCH

Exhibit 2: Falcon's demonstrated booster recovery and reflight capability has driven sea change in launch cadence and cost to orbit
Landed Falcon 9 booster

Source: SpaceX

BofA GLOBAL RESEARCH

(+) Sticky relationships with US, int'l customers across segments

SpaceX has developed relationships across a diverse set of customers spanning commercial satellite operators, civil space agencies, defense organizations, and enterprise communications customers. Launch customers include commercial operators, NASA, the U.S. Department of Defense, and national security agencies, while Starlink now serves consumer, enterprise, aviation, maritime, mobility, and government markets across more than 160 countries. This diversification reduces dependence on any single customer segment and increases opportunities for cross-selling capabilities over time.

Customer relationships could become increasingly sticky as SpaceX expands beyond launch services into mission-critical connectivity and government applications. For example, Starlink is increasingly embedded into mobility, maritime, enterprise, and defense use cases (through Starshield) where reliability and global coverage are critical. Similarly, government customers are increasingly purchasing integrated capabilities spanning launch, communications, and national-security-focused services. As SpaceX broadens its portfolio, switching costs may increase as customers become reliant on an integrated ecosystem of transportation and communications infrastructure rather than a single standalone product.

(+) Unparalleled vertical integration enables scale, derisks execution

SpaceX has oriented itself around end-to-end vertical integration as a means of controlling timelines, program ramps, and margins. This extends from the program and subsystem level – where SpaceX has in-housed the majority of its supply chains for launch, satellite buses, value-added payloads, and beyond – to the organization of its segments, where its constellation services are fundamentally enabled by internal launch capacity. This vertically integrated operating model enables rapid product iteration, tighter coordination across business units, and potentially lower total system costs than more fragmented competitors.

The value of this integration is particularly evident in Starlink. SpaceX designs and manufactures satellites, launches them on internally controlled vehicles, operates the communications network, and serves end customers directly. The company does not depend on third-party launch availability to deploy capacity or respond to network demand. This level of control has allowed SpaceX to scale Starlink to approximately 10,000 satellites and over 10 million subscribers in a relatively short timeframe. We believe this integrated model may become increasingly important as the company pursues larger and more complex opportunities such as next-generation satellite architectures and orbital computing infrastructure (see (+) Only end-to-end provider of scaled space-based capabilities incl. compute).

(+) Only end-to-end provider of scaled space-based capabilities incl. compute

We believe SpaceX increasingly occupies a unique position within the space industry as the only company operating at scale across launch, manufacturing, communications infrastructure, orbital operations, and prospective compute deployment. Today the company controls the world's largest active satellite constellation and operates the dominant global launch platform. As Starship expands payload capability and launch frequency, SpaceX is positioned to build increasingly sophisticated infrastructure in orbit while retaining control over the transportation systems required to deploy and maintain it.

This distinction becomes particularly important when considering future opportunities beyond launch and communications. While initiatives like orbital data centers remain early, we believe SpaceX begins from a much stronger position than potential competitors because many of the prerequisite capabilities already exist within the organization. Launch systems, communications networks, satellite operations expertise, manufacturing infrastructure, and global deployment capability have all been developed and proven through existing businesses. In our view, no other company currently combines these capabilities at comparable scale, creating the potential for SpaceX to emerge as the foundational infrastructure provider for future space-based computing and communications applications. Given the attractiveness of the compute market from supply/demand imbalance that seems likely to persist for some time, SpaceX could be well positioned to monetize its internal capabilities through this avenue. As the company seeks to develop and commercialize its own internal AI capabilities including Grok and Cursor, access to scaled end-to-end AI compute could become a key advantage to scaling and ultimately monetizing those platforms and other potential AI applications as well.

(+) Reusable, cost effective launch enables option value for other space apps

Historically, many space-based business models were constrained by launch costs rather than end-market demand. SpaceX's continued reduction in launch costs may expand the universe of economically viable applications in orbit. Beyond existing businesses such as broadband connectivity and government services, low-cost transportation could enable new categories including in-space manufacturing, Earth observation, logistics, data processing, communications infrastructure, and future cislunar applications.

SpaceX has signaled willingness to capture and scale existing small-scale space applications opportunities, a clear example being the recent introduction of its Starfall reentry vehicle. Reentry vehicles supporting in-space manufacturing and synthesis of pharmaceuticals has been an emerging, if still niche, space-based application. While still early in development, Starfall illustrates SpaceX's ability to leverage capabilities originally developed for launch and spacecraft operations to address emerging markets beyond traditional satellite communications. Rather than serving solely as a transportation provider, SpaceX is increasingly building the infrastructure and logistics capabilities required to support commercial activity in orbit, and we think SpaceX could find and compete for other in-space commercial activities over time.

We think investors should view much of SpaceX's long-term value / total addressable market (TAM) through an option value lens. While the economic contribution of many future space markets is uncertain today, SpaceX owns the enabling infrastructure that would be required if such markets develop. As launch costs continue to fall and payload capacity expands, the company's addressable market could increase significantly beyond the opportunities currently reflected in launch and connectivity revenue. Orbital compute is, in our view, the primary reflection of this option value today and represents a meaningful growth driver for SpaceX if developed. However, there could reasonably be other similar avenues for SpaceX to monetize its launch and manufacturing capabilities unlocked by high-throughput, low-variable-cost launch that emerge in coming years.

Investment negatives

(-) Execution risk – Starship, orbital compute technologies not yet proven

While Falcon has established a strong commercial and operational track record, much of SpaceX's future growth narrative depends on technologies that have not yet achieved comparable maturity. Starship remains under development and serves as a critical dependency for next-generation Starlink deployment, future launch economics, and the company's longer-term orbital infrastructure ambitions. Starship's flight test campaign has not been without setbacks, including loss of the booster on its most recent 12th test flight. Scaled orbital computing platforms are also unproven at present, with open technical questions including the ability of the platforms to dissipate heat, performance of AI chips in the space environment, and others. Delays in technical development, operational readiness, or launch cadence could materially affect the timeline and economics of these initiatives.

(-) Subject to regulatory risk on launch, satellite services

SpaceX operates in highly regulated industries spanning launch services, telecommunications, spectrum licensing, defense contracting, and international operations. Future growth depends on obtaining launch approvals, maintaining access to spectrum resources, securing operating authorizations across multiple jurisdictions, and complying with evolving national-security requirements.

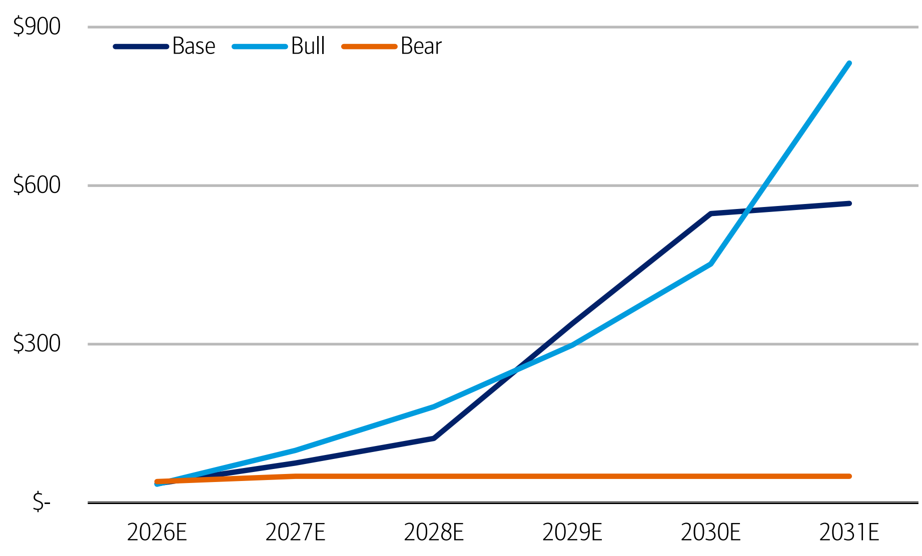
A key area of risk is Starlink's dependence on spectrum rights and satellite operating authorizations. As the world's largest low Earth orbit (LEO) communications constellation, Starlink requires ongoing access to licensed spectrum to deliver broadband services and expand into new offerings such as direct-to-device connectivity. Spectrum is a finite resource that is increasingly contested among satellite operators, terrestrial wireless providers, and governments. Future FCC decisions regarding spectrum allocation, sharing requirements, interference protections, or constellation authorizations could affect network performance, subscriber growth, and competitive positioning. International expansion also requires country-by-country regulatory approvals, creating additional complexity as Starlink scales globally. While SpaceX has benefited from early deployment advantages, future growth remains subject to evolving regulatory and geopolitical considerations.

Beyond telecommunications, launch operations remain highly dependent on regulatory approvals. The FAA licenses commercial launches and launch sites, including Starship operations from Starbase and other facilities. Starship – and downstream space applications including orbital compute – likely depend on flight cadences well above current levels, potentially into the thousands of launches per year. Any delays associated with launch licensing, environmental reviews, post-flight investigations, range availability, or operating restrictions could slow deployment of next-generation satellites and SpaceX's activities as a whole. Regulatory scrutiny may also increase as SpaceX's strategic importance grows. The company's expanding role in communications, defense, launch, and prospective compute infrastructure may expose it to additional oversight regarding spectrum usage, national security, orbital debris mitigation, space traffic management, environmental impacts, and international operations. Given the degree to which launch, connectivity, and future infrastructure initiatives are interconnected, adverse regulatory outcomes in any one area could have broader implications across the SpaceX platform.

(-) Significant investment needed to support AI buildout

Deployment of scaled orbital data center compute on orbit – a central piece of SpaceX's TAM and long-term value, could require hundreds of billions of dollars in capital deployment in coming years to realize. This includes multiple substantial programs requiring investment in tandem – development and buildout of the Starship fleet, scaling of satellite production capabilities, and procurement of GWs of AI chips and other compute hardware annually.

Exhibit 3: BofAe AI segment capex exceeds $560bn by 2031E in base case driven principally by orbital compute, while bull case deployment could require $830bn of AI capex investment in 2031E
BofAe AI segment capex by case, $ bn



Source: BofA Global Research

BofA GLOBAL RESEARCH

Given the scale of investment needed, we expect SpaceX to require significant additional capital through the decade. Our base case envisions total additional debt raise of $690bn between 2027E-2031E (beyond the recently completed $25bn debt raise), while our bull case sees $300bn of additional debt capital between 2027E-2030E. Note our bear case does not envision scaled deployment of orbital compute, resulting in the significantly lower AI capex forecast across the period. In the bear and bull cases, we expect SpaceX to reach FCF break even by 2030E; in the base case it could take until 2031E. Access to debt (and potentially equity) markets to support continued investment could be a gating item for SpaceX's pace of development.

(-) TAM hinges on highly competitive AI applications market

While launch services and connectivity provide tangible and established addressable markets today, a growing portion of the long-term investment narrative appears tied to AI infrastructure, compute platforms, and AI-enabled applications. SpaceX identifies ~93% of its TAM as related to its AI activities, and 84% directly related to monetization of its AI applications, consumer subscriptions, and advertising revenues. The AI applications market differs materially from launch, where SpaceX enjoys strong foundational moats, and instead involves competition with some of the largest and best-capitalized technology companies globally.

Even if SpaceX succeeds in deploying orbital compute infrastructure at scales envisioned in our model, the magnitude of the opportunity will depend on whether customers perceive meaningful performance, cost, energy, or strategic advantages relative to terrestrial alternatives. As a result, long-term revenue expectations increasingly rely on assumptions regarding AI market growth, customer adoption, and competitive differentiation that are inherently more difficult to underwrite than the company's existing launch and connectivity businesses.

Overview of model case assumptions

We value SpaceX using a long term DCF incorporating base, bear, and bull cases over a forecast period until 2045E. Our forecast cases incorporate various assumptions across Space, Connectivity, and AI segments, as well as varied valuation metrics including discount rate. For reference, we aggregate our primary assumption differences across cases here.

Exhibit 4: Our valuation reflects varied discount rates across cases to reflect relative uncertainty in each case

Key DCF case valuation metrics

	Discount Rate	Long term growth rate (%)
Base Case	18%	5%
Bear Case	14%	5%
Bull Case	28%	5%

Source: BofA Global Research

BofA GLOBAL RESEARCH

Our DCF factors in an 18% discount rate in the base case, 28% discount rate in the bull case, and 14% discount rate in the bear case and assigns an equal-weighted average of each case. Our DCF factors in a long-term growth rate of 5% in the base, bull, and bear cases. In our view, the varied discount rates fairly reflect the relative uncertainty associated with each scenario, with base case discount rate in line with the median of the peer group, bull case discount rate in line with the higher growth and higher risk peers, and bear case discount rate in line with more established, lower execution risk peers.

We drive our cases by making several key assumptions at the segment level reflecting operational performance, technical milestones, and other metrics.

Space:

- Base case: initial Starship launches for Starlink in 2027, over 100 launches by 2028, with nearly all initially used for orbital AI + Starlink deployments. Third party launches begin in 2029, ramping to 1 per day by 2040s. Falcon is retired in 2031 as Starship third party launch ramps.

- Bear case: Starship is delayed, with first internal launches in 2028 and a slower ramp in following years. Reusability is slower to be proven out, with essentially no economic benefit before 2030. Falcon launches continue to grow across the forecast period, satisfying third party demand.

- Bull case: Starship launches reach 1 per month in 2027, over 1000 by 2029, and end the forecast period at ~10 per hour to support TW-scale orbital AI deployment. First third party launches in 2029 but faster ramp than base case reflects increased demand.

Connectivity:

- Base case: Initial Starlink v3 deployments in 2027 aligned with first Starship launches, Mobile deployments take until 2028 to begin. Starlink pricing trends higher than bear case, Starlink ultimately takes ~25% of TAM by 2045. Mobile pricing above bear case reflects mix of direct-to-consumer and mobile network partnership in select markets.

- Bear case: Starship delay until 2028 pushes first next-gen satellite deployments to 2028. Starlink eventually captures ~20% of TAM. Mobile pricing lower than other cases reflects continuation of mobile partnership strategy. Mobile services reach 10% of market share by 2045.

- Bull case: Both v3 Starlink and Mobile satellites begin deployment in 2027. Starlink captures 40% of TAM within the forecast period. Mobile revenues above other cases reflect primarily independent direct-to-consumer model, mobile reaches 30% of share in mid-2030s.

AI:

- Base case: Initial orbital data center deployments in 2028. Ultimate pace of deployment and capex per watt do not reflect TeraFab enabling TW-scale, but costs decline as industry chip supply becomes less challenged. Majority of compute is monetized by selling to third parties rather than internal use by Grok/Cursor/applications.

- Bear case: Assumes no contribution from orbital data centers, SpaceX's AI buildout is entirely terrestrial. Monetization reflects purely third-party sales by end of period, assuming Grok and other applications do not contribute beyond 2030.

- Bull case: Orbital AI deployments exceed 100GW/year by 2035 and reach 1TW annually by mid-2040s enabled by TeraFab. Grok and other applications become competitive in their markets and drive majority of segment value. 60% of compute is leveraged internally vs. 40% sold to third parties.

Space

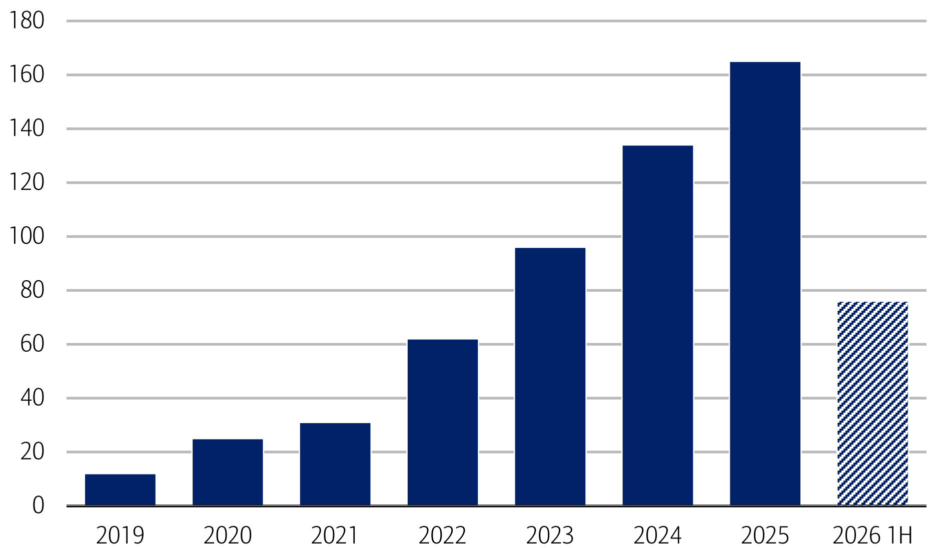
The foundational enabler of SpaceX's growth in satellite communications and orbital compute is the company's commanding position within reusable space launch, particularly Starship. SpaceX is to date the only launch provider to demonstrate rapid reusability through its Falcon 9 and Falcon Heavy vehicles. Reusability of Falcon's booster stage has enabled increased launch cadence and reduced payload cost per kg to orbit, positioning SpaceX as the leading launch provider globally, carrying 80%+ of global mass to orbit between 2023-2025. Falcon also supports Dragon, SpaceX's human and cargo transport spacecraft. Dragon actively supports the International Space Station, completing over 50 completed missions to the ISS to date. SpaceX's next generation super-heavy lift Starship launch vehicle is designed to be fully reusable (upper and lower stages) and carry 100+ tons to LEO per launch, multiple times the capacity of Falcon 9.

Increased mass per launch and full reusability is expected to further reduce launch costs to hundreds of dollars per kg. Starship's size, planned reusability, and reduced cost are integral to enabling SpaceX's ambitions on orbit, particularly the deployment of larger next-generation Starlink satellites and scaled orbital compute satellites at scale.

Falcon: validating the flywheel

SpaceX's Falcon family of partially reusable launch vehicles – Falcon 9 and Falcon Heavy – have established SpaceX as the leading launch provider and the foundational enabler of space activity, both internal and third-party. Falcon's reusability redefined the economics of spaceflight, cutting launch costs to ~$2,700 for Falcon 9 vs. $18,500 for legacy expendable vehicles. To date, SpaceX has achieved 35 reflights with its most reused booster. Reusability has enabled not only significantly lower launch costs but attractive reliability at scale, with ~99% of Falcon flights completed successfully to date, in part due to reflight of proven hardware. Falcon has developed into the most successful launch vehicle family globally, completing 165 launches in 2025 vs. 18 for its closest competitor.

Exhibit 5: Falcon launches have ramped at ~55% CAGR since 2019, increasingly supporting internal capabilities like Starlink
Falcon launches by year, 2019 – 2026 YTD



Source: BofA Global Research, SpaceX

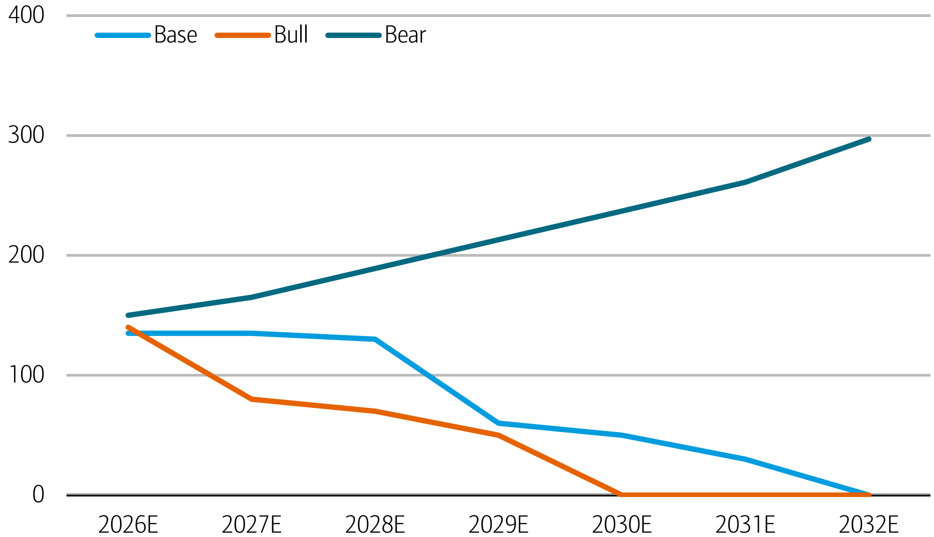
BofA GLOBAL RESEARCH

Falcon's rapid reusability and significantly lower cost to orbit have enabled the development of proliferated constellations. Initially supporting third-party launches primarily, Falcon has largely transitioned to enabling SpaceX to monetize access to space through its Starlink network. Between 2024-2025, ~70% of Falcon launches were allocated to Starlink missions, with the number of third-party launches remaining relatively flat. Falcon + Starlink demonstrated a successful flywheel effect for how SpaceX monetizing its launch capability: access to rapid, reusable launch enables deployment of Starlink at scale, generating services-type economics and in turn providing a significant launch demand signal adding to cadence. This dynamic of proliferated launch driving internal economic value and the feedback response to launch demand is key to SpaceX's monetization strategy for space applications including orbital compute moving forward.

SpaceX has noted plans to retire Falcon once Starship is commercialized, given Starship's full reusability and significantly increased payload capacity (100 tons to LEO for v3, 200 tons for v4 vs. ~20 tons for Falcon 9).

Exhibit 6: BofAe base and bull cases forecast Falcon to be retired in the early 2030s replaced by Starship

BofAe forecast Falcon launches by case, 2026E-2031E



Source: BofA Global Research

BofA GLOBAL RESEARCH

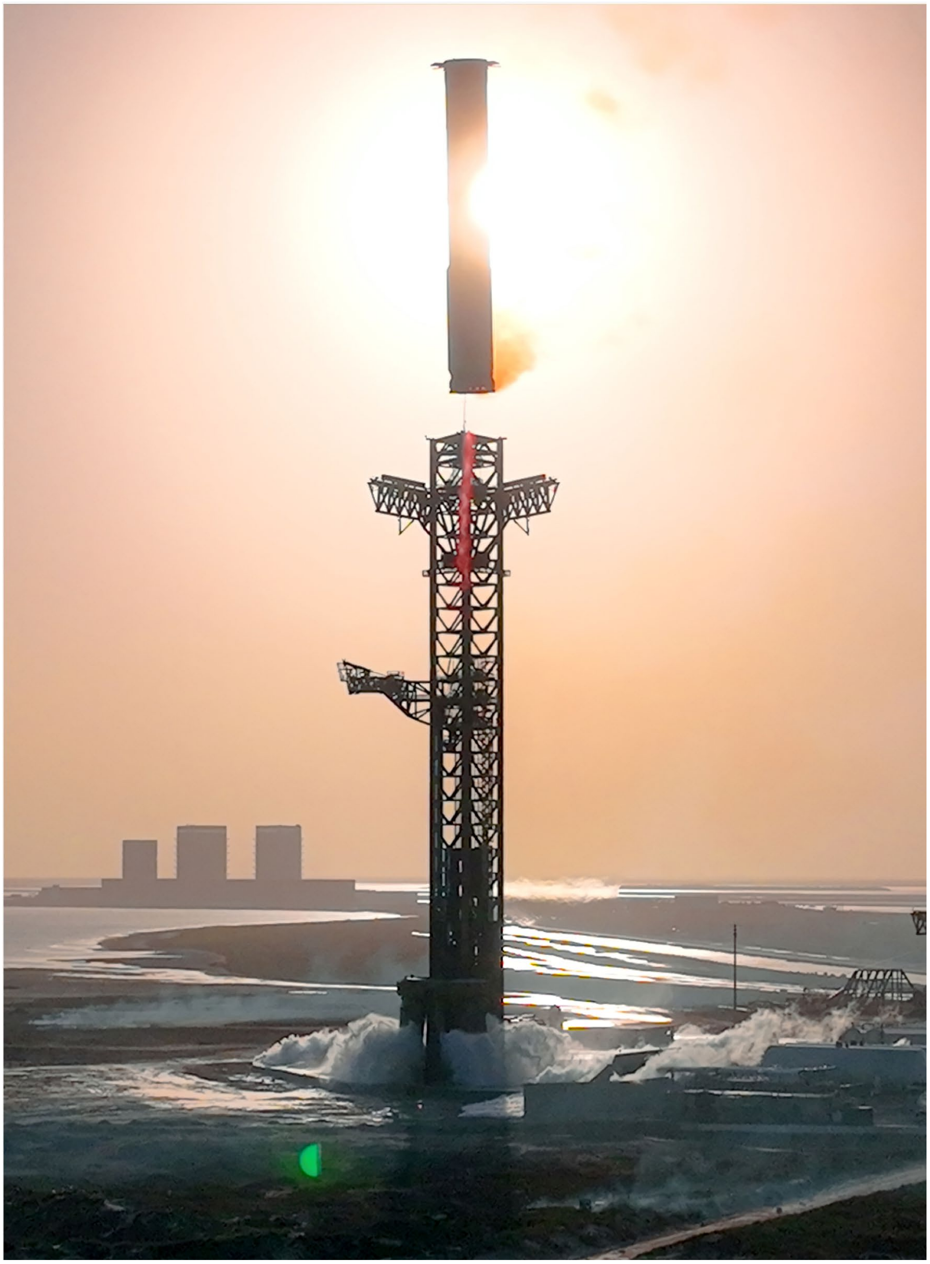
Starship: step changes in capacity and cost

Starship's sheer scale and full reusability are the key underpinning for SpaceX's outlined growth priorities, including expanded Starlink services and orbital data center deployment. SpaceX has articulated plans to fly Starship at similar cadence to commercial aircraft to support orbital data center deployment at the 1 TW/year scale, which could require multiple Starship flights per hour.

Active test campaign seeks to demonstrate full reusability

The launch vehicle is currently undergoing its flight testing campaign, with 12 flights completed to date. The most recent test flight was conducted in May 2026, demonstrating soft splashdown of the upper stage after deploying mock payloads, though the booster stage failed its own soft landing. Starship's lower stage has previously demonstrated controlled return and soft landing on the launch site "chopsticks" structural assembly in prior tests, a key milestone to full reusability. Test flight 14, expected in late 2026, is expected to be the first demonstration of Starship's upper stage entering and returning from low Earth orbit (LEO). Successful orbital reentry and recovery would be key to determining the upper stage's ability to survive orbital launch and the degree to which the spacecraft needs to be refurbished before reflight, informing progress on rapid reusability. Eventually, a proven ability to refly Starship dozens of times or more, with little refurbishment required between flights, could reduce SpaceX's internal cost to launch to little more than Starship's fuel costs and a small piece of depreciation of the launch vehicle and launch pad hardware.

Exhibit 7: Starship's booster has demonstrated controlled catch by the "chopsticks" launch pad assembly, a key milestone to reuse
Starship booster stage landing on launch pad



Source: SpaceX

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Commercialization of space is oriented around Starship success

Rapid reusability, low cost, and high reliability of Starship underpin the trajectory of the space economy, both internally at SpaceX and among the industry at large. As SpaceX plans to expand its orbital services offerings through Starlink and AI, each require Starship to perform as planned to achieve their respective goals. At the architecture level, payloads like Starlink v3, Starlink Mobile satellites, and planned orbital data center satellites have been designed with Starship launch exclusively in mind. Potential customers are similarly looking to Starship's ultimate success for their own business plans, from the perspectives of cost efficiencies and/or payload capacity. Commercial space station providers including Starlab, and lunar lander developers including Lunar Outpost have architected their systems around the availability of Starship launches in coming years.

Enduring moat on launch availability and cost

SpaceX's unrivaled flight heritage across Falcon and Starship is perhaps the company's most fundamental moat, with closest competitors likely many years behind SpaceX's capabilities. Blue Origin's New Glenn heavy lift rocket is a promising entrant, having successfully completed a barge landing of its lower stage during a November 2025 flight. However, New Glenn remains unproven at scale and in development; a May 2026 test failure during hot-fire testing caused significant damage to Blue Origin launch infrastructure and loss of the rocket. Rocket Lab, another competitor in launch, has demonstrated strong flight heritage of its Electron small lift rocket, recently completing its 91st launch. Rocket Lab is actively developing its Neutron medium lift vehicle, competitive with Falcon 9 and designed for reusability, expected to first launch in late 2026.

Our Space Financial Estimates

Accounting treatment dilutes true value

- It is important to note that SpaceX's internal accounting does not fully reflect the financial value of its launch capabilities, as intercompany transaction are not broken out and thus internal launches are not visible within the Space segment. Space segment launch revenues reflect solely third-party activity, which is expected to continue to lag behind internal launch given demand for Starlink and AI compute launch access.

- In FY25, Space accounted for 22% of total revenues, primarily through Falcon third-party launches for commercial, government, and civil end users. We expect revenue growth to be much slower than the other segments given the internal launch accounting treatment, growing at 7.6% CAGR through 2031 and becoming <1% of total revenue by 2031.

- We expect Space revenue growth to be 13.2% in FY26, 49.8% in FY27 as Starship begins commercial launch and Falcon begins to primarily serve third-party demand, and 0.5% in FY31, representing a 7.6% CAGR from 2025-2031

Exhibit 8: We estimate Space revenues to grow at 7.6% CAGR through 2031
Space segment revenues, 2025A-2031E

	2025	2026	2027	2028	2029	2030	2031
Space Revenues	**4,086.00**	**4,624.30**	**6,923.50**	**7,613.25**	**6,448.01**	**6,309.16**	**6,340.11**
YoY Growth (%)		13.17%	49.72%	9.96%	-15.31%	-2.15%	0.49%
% of Total Revenues	21.88%	11.34%	8.85%	5.33%	2.44%	1.28%	0.80%

Source: BofA Global Research, company filings

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Margins reflect Starship investment

- We expect gross margins to decline driven by increased investment on Starship commercialization driving elevated costs starting primarily in 2027.

- We project operating and Free cash flow margins to decline commensurate with elevated R&D and capital expenditure on Starship over the period, coupled with revenue remaining relatively flat as Falcon launches give way to Starship.

Exhibit 9: Space operating performance declines over the period as third-party launch remains relatively constant and the segment absorbs ramping Starship costs
Space segment financial metrics, 2025A-2031E

	2025	2026	2027	2028	2029	2030	2031
Space Revenue	4,086.00	4,624.30	6,923.50	7,613.25	6,448.01	6,309.16	6,340.11
YoY Growth (%)		13.17%	49.72%	9.96%	-15.31%	-2.15%	0.49%
Gross Profit	2,734.00	2,910.49	3,466.42	3,199.10	1,757.77	1,135.17	793.68
Gross Margin	66.91%	62.94%	50.07%	42.02%	27.26%	17.99%	12.52%
Operating Profit	-619.00	-2,037.51	-455.75	-1,088.50	-1,853.22	-2,584.15	-3,037.22
Operating Margin	-15.15%	-44.06%	-6.58%	-14.30%	-28.74%	-40.96%	-47.90%
EBITDA	138.00	-1,254.70	871.84	783.78	481.88	144.11	24.89

Exhibit 9: Space operating performance declines over the period as third-party launch remains relatively constant and the segment absorbs ramping Starship costs

Space segment financial metrics, 2025A-2031E

	2025	2026	2027	2028	2029	2030	2031
EBITDA Margin	3.38%	-27.13%	12.59%	10.29%	7.47%	2.28%	0.39%
Free Cash Flow	-3,179.00	-6,190.10	-9,252.43	-9,219.75	-7,945.02	-6,851.23	-5,759.83
FCF Margin	-77.80%	-133.86%	-133.64%	-121.10%	-123.22%	-108.59%	-90.85%

Source: BofA Global Research, company filings

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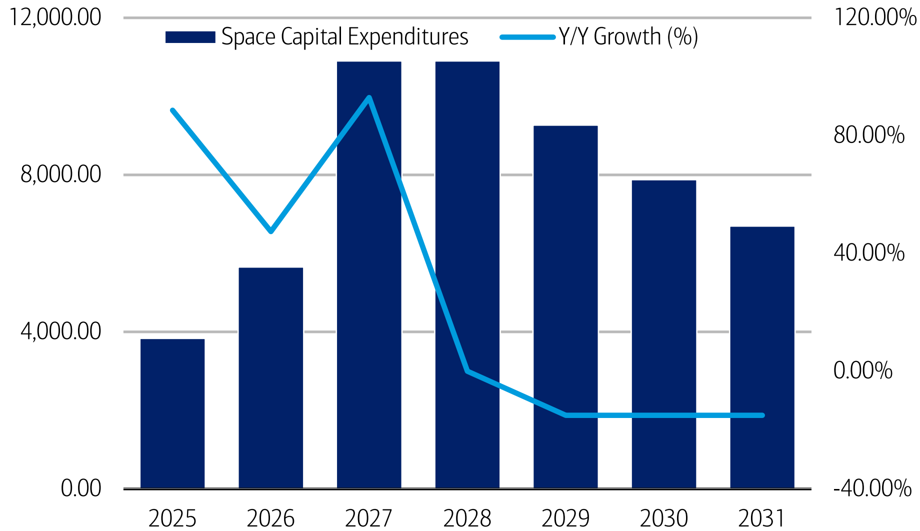
Capital Expenditures ramp to support constellation growth

- We expect SpaceX's Space capital expenditures to ramp in 2027 and 2028 in line with initial Starship commercialization and continued buildout of the fleet.
- As reusability becomes increasingly proven out, capex is expected to normalize on a dollar basis in the 2030s.

Exhibit 10: Connectivity capex to ramp with Starship availability, moderating as a % of revenue by 2031

Connectivity Capital expenditures, 2025A-2031E



Source: BofA Global Research estimates, company filings

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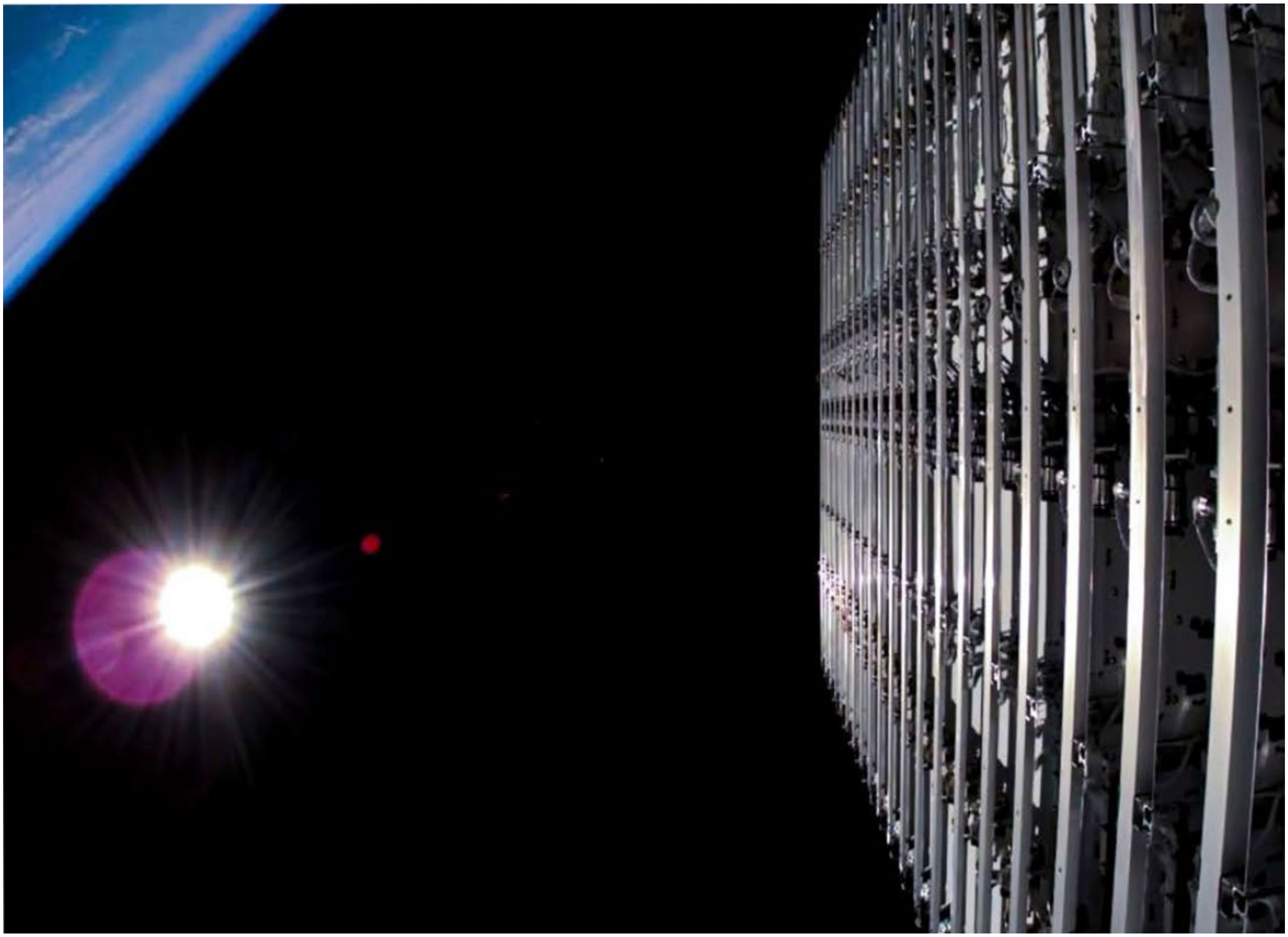
Connectivity

Starlink Broadband

Starlink is positioned to disrupt the ~$660bn global consumer broadband market. Broadband represents the most compelling and easiest to penetrate market opportunity. Technical factors such as spectrum propagation are less of a concern and customer acquisition costs are lower. Unequal coverage of fiber and higher cost to pass in less densely populated areas make LEO broadband a competitive solution with favorable economics versus fiber assuming SpaceX can bend the launch cost per kg to under $100-$200/kg. Individual market adoption depends on 1) fixed or mobile ultra-broadband availability, and 2) competitive pricing. The first factor points mainly to rural "not-spots", where ultra-broadband covers fewer homes and standalone 5G is immature in many countries. The second factor suggests better-covered areas could be more resistant to market share gains, with premium telco broadband services currently cheaper than satellite alternatives.

Exhibit 11: SpaceX's Connectivity offerings are enabled by a proliferated constellation of approximately 10,000 satellites
Starlink deployment



Source: SpaceX

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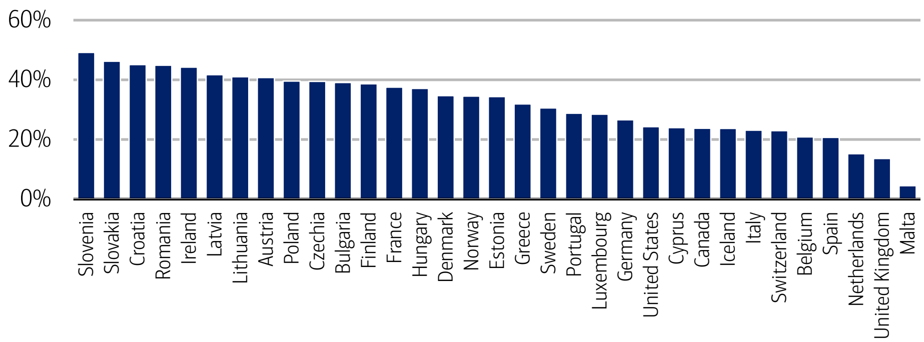
There is a natural segmentation of the market. Terrestrial networks remain the preferred solution in dense urban areas, where high capacity per user is critical. Starlink, by contrast, is currently better suited for sparsely populated regions where its distributed capacity can serve relatively few users efficiently. For example, in the United States urban areas have 425 housing units per square mile and suburban areas have 200 housing units per square mile. These population densities could strain the shared nature of LEO broadband in the near to intermediate term. However, if Starship full reusability is achieved, launch cadence hit and v3 satellite deployment begins on time in 2027 we estimate Starlink can address capacity concerns and increase capacity 10x by 2030 and 25x by 2035.

Local market economics will also determine size and pace of market share gains. For example, Starlink pricing is less competitive with existing fiber and fixed wireless access (FWA) offerings in North America and Europe. This could be due in part to conscious throttling of demand in regions where Starlink is reaching capacity limits such as the United States (Starlink recently increased prices $5-$10). However, current pricing and near term capacity forecasts suggest Starlink broadband gains in these regions will be concentrated in rural areas and dictated by pricing decisions. Less developed countries represent a clearer growth opportunity based on less dense fiber and 5G broadband coverage. Lower average revenue per user relative to higher income regions could limit attractiveness and near term revenue growth.

Rural versus urban population is another way to assess market opportunity for Starlink broadband. Less urban areas have lower fiber coverage and a higher cost to pass making them less economic for incumbents to build fiber. Starlink's cost advantage once Starship begins operation and with V3 satellite capacity creates clear market share gain opportunity in these regions. We believe cable and legacy DSL are most at risk of losing market share based on rural coverage and less opportunity to bundle with wireless offerings. Government efforts to drive broadband penetration in rural areas could also support Starlink growth. For example, states such as Maine and Texas recently announced state-funded programs that subsidize Starlink for some rural addresses.

Exhibit 12: Initial penetration could favor more rural geographies including central and eastern Europe

% of population in rural areas by geography



Source: UN

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Wireless

Satellite direct-to-device (D2D) technology addresses gaps in mobile coverage where terrestrial networks are absent or obstructed. Starlink evolution into a standalone wireless network will be determined by spectrum breadth/depth, latency, and constraints on device performance. We view existing D2D satellite technology as under-developed and largely complementary to terrestrial mobile networks today. The question is whether D2D could become a "Trojan horse" over time, as satellite constellations scale, service capability improves and operators push beyond basic messaging into richer mobile use cases. At present, we view wireless as a more challenging market to penetrate given constraints around latency, line-of-sight availability, in-building penetration and overall service quality. The most important practical limitation may be handset economics: mobile phones are designed to communicate with cell sites over distances ranging from a few hundred meters to a few kilometers, not with LEO satellites hundreds of km away. That creates obvious challenges around signal strength and battery performance. However, building a complementary terrestrial network, signing a mobile virtual network operator (MVNO) or acquiring incumbent wireless operators would address these technical challenges. Building a standalone terrestrial wireless network is the most time consuming and highest cost alternative. For example, dense urban environments such as New York City require up to 10 cell sites per square kilometer. Building a network covering areas where capacity and propagation issues are greatest would be measured in years. There is a clear prisoner's dilemma for incumbent operators. Specifically, those without existing or planned fiber builds. Management teams have universally denied interest in signing an MVNO with Starlink; however, a shared wireless + broadband MVNO structure could be mutually beneficial.

Incumbent telecommunications operators are unlikely to stand still as the Starlink threat emerges in 2027 and beyond. We expect operators in the United States to more aggressively push converged wireless/broadband offerings which reduce churn and highlight the superior combined performance of fiber + terrestrial wireless. For example, 42% of AT&T fiber connections subscribed to AT&T at YE25 (200bp Y/Y increase). Converged wireless customers have 50% lower churn and converged broadband customers have 40% lower churn. Larger converged subscriber bases would effectively reduce the switcher pool and increase the need to rely on price to gain market share.

Starshield builds on Starlink for gov't exposure

Starshield is SpaceX's government-focused communications and space infrastructure platform, designed to leverage the company's commercial Starlink architecture while addressing the unique security, resiliency, and mission requirements of defense, intelligence, and government customers. SpaceX has utilized the scale, manufacturing efficiency, launch capability, and operational experience developed through Starlink to create a portfolio of government-focused services spanning satellite communications, hosted payloads, and space-based sensing applications.

SpaceX's capabilities in launch and scaled satellite deployment provide significant advantages in deployment speed, operational experience, and cost structure relative to traditional government satellite programs that are often custom-designed and procured over multi-year timelines. Because SpaceX controls the underlying launch, manufacturing, and network infrastructure, the company can deploy government-focused capabilities while benefiting from the scale efficiencies created by its commercial operations. We think this creates a potentially powerful competitive advantage as governments increasingly seek resilient communications and space-based infrastructure that can be deployed rapidly and updated continuously.

Applications across communications, intelligence, defense

Starshield's market extends beyond traditional satellite connectivity, incorporating in-demand secure communications, resilient networking capabilities, tactical connectivity, space-based sensing, and other applications. The Starshield platform is intended to support a range of applications including military communications, intelligence and surveillance missions, government networking, and other national security use cases. In recent months, SpaceX has been awarded a $4.2bn contract by the US Space Force to develop space-based airborne moving target indicator (SB-AMTI) capabilities in support of Golden Dome, as well as a $2.3bn award to provide Starshield to the US Space Force for the Space Data Network Backbone program.

Embedded with US, international governments

SpaceX has established longstanding relationships with U.S. government organizations through its launch activities and has increasingly expanded into communications and national security applications. As government customers become users of both launch and communications services, the breadth of engagement across the SpaceX platform may create opportunities for deeper and more strategic partnerships over time. Internationally, governments are increasingly focused on communications resiliency, sovereign connectivity, and secure access to space-based infrastructure. In many regions, satellite communications are becoming viewed as critical national infrastructure, particularly for defense, emergency response, and remote-area connectivity. While Starlink commercial services have been used by international government customers historically (most notably to support Ukrainian military operations), Starshield was contracted by the UK Ministry of Defense in 2026 to support operational network traffic. SpaceX is differentiated given the scale of the communications network, its global operating footprint, and its ability to rapidly deploy additional capacity when required.

Our Connectivity Financial Estimates

Starlink drives near-term profitability

- In FY25, Connectivity accounted for 61% of total revenues, driving revenue and profitability performance in the near term and enabling investments in the other segments. As AI infrastructure and applications develop in coming years, we expect Connectivity's portion of total revenue to decline to 24% by FY31 despite 60% revenue growth CAGR at Connectivity.
- We expect Connectivity revenue growth to be 56.3% in FY26, 41.1% in FY27, and 52.2% in FY31, representing a 60% CAGR from 2025-2031
- Growth is dependent on scaling of offerings within both Starlink broadband and the proliferation of Mobile services.

Exhibit 13: We estimate Connectivity revenues to grow at 60% CAGR between 2025A-2031E
Connectivity segment growth by year

	2025	2026	2027	2028	2029	2030	2031
Connectivity Revenues	**11,387.00**	**17,795.09**	**25,100.99**	**44,977.68**	**74,391.42**	**124,391.01**	**189,324.03**
YoY Growth (%)		56.28%	41.06%	79.19%	65.40%	67.21%	52.20%
% of Total Revenues	60.98%	43.65%	32.10%	31.50%	28.19%	25.20%	24.03%

Source: BofA Global Research, company filings

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Margins benefit from expansion of services offering

- We expect gross margins to be 49-56% from FY26-FY31, increasing over the forecast period as adoption increases and the segment benefits from cost absorption.
- We project operating margins to expand from 37% in FY26 to 45% in FY31, largely aligned with gross margin expansion and relatively constant operating expenses as a % of revenue over the period.
- We expect Free cash flow margins to decline in 2027 as SpaceX begins the large scale buildout of next-generation Starlink broadband and Mobile constellations, recovering to 24% by FY31 as the pace of capex normalizes.

Exhibit 14: Gross margins and operating margins are forecast to improve ~7-8% over the forecast period
Connectivity segment financial metrics

	2025	2026	2027	2028	2029	2030	2031
Connectivity Revenue	11,387.00	17,795.09	25,100.99	44,977.68	74,391.42	124,391.01	189,324.03
YoY Growth (%)		56.28%	41.06%	79.19%	65.40%	67.21%	52.20%
Gross Profit	5,466.00	8,670.04	12,323.00	23,255.17	39,432.73	66,932.50	105,892.32
Gross Margin	48.00%	48.72%	49.09%	51.70%	53.01%	53.81%	55.93%
Operating Profit	4,423.00	6,534.63	9,353.55	18,009.56	30,879.16	52,831.52	84,732.45
Operating Margin	38.84%	36.72%	37.26%	40.04%	41.51%	42.47%	44.76%
EBITDA	6,799.00	9,789.16	13,486.60	24,394.21	40,173.90	65,694.03	101,486.17
EBITDA Margin	59.71%	55.01%	53.73%	54.24%	54.00%	52.81%	53.60%
Free Cash Flow	2,990.00	3,755.98	-10,760.35	-9,380.64	-2,948.19	13,627.98	45,560.03
FCF Margin	26.26%	21.11%	-42.87%	-20.86%	-3.96%	10.96%	24.06%

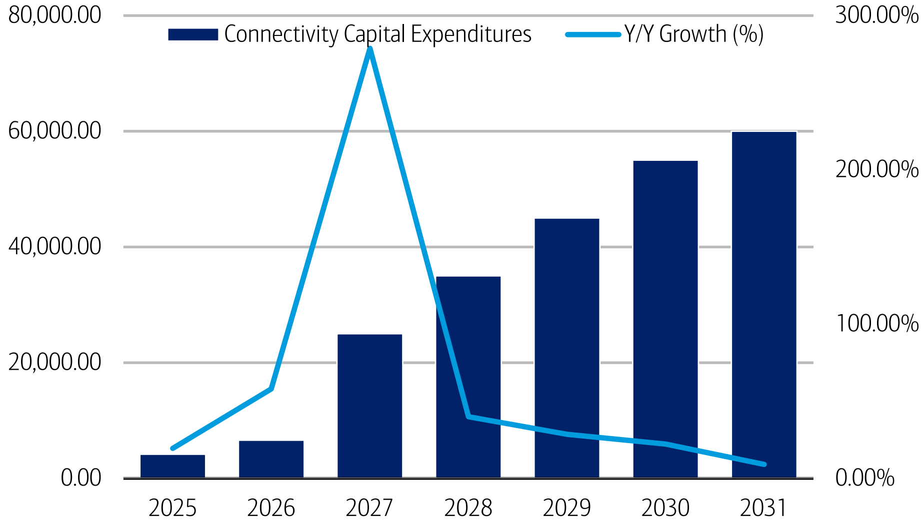
Source: BofA Global Research estimates, company filings

BofA GLOBAL RESEARCH

Capital Expenditures ramp to support constellation growth

- We expect SpaceX's Connectivity capital expenditures to ramp starting in FY27 as Starship enables proliferation of next-generation Starlink v3 and Starlink Mobile satellites.
- These investments are fundamental to increasing network bandwidth and customer performance, enabling scaling of subscriptions and operational performance.

Exhibit 15: Connectivity capex to ramp with Starship availability, moderating as a % of revenue by 2031
Connectivity Capital expenditures, 2025A-2031E



Source: BofA Global Research estimates, company filings

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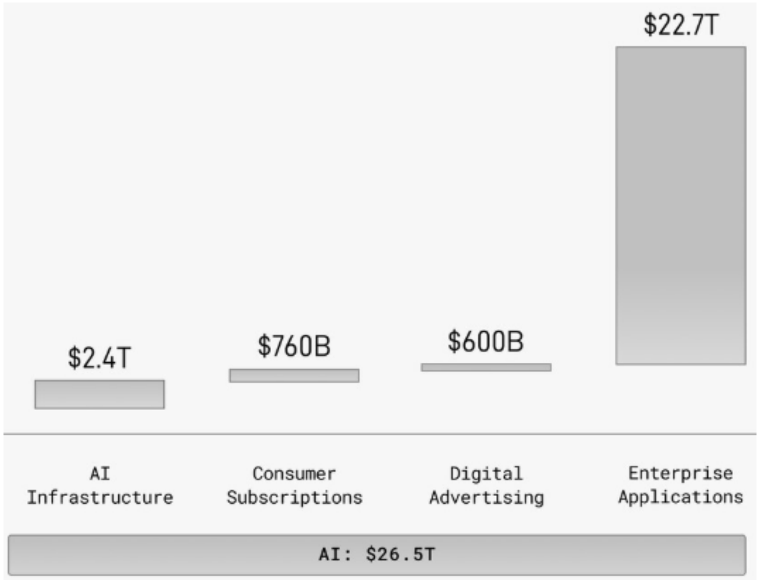
AI

SpaceX's AI strategy spans a vertically integrated stack that combines both infrastructure and applications, positioning the company across multiple layers of the AI value chain. At the infrastructure level, SpaceX is building a compute network consisting of terrestrial (earth-based) data centers and emerging plans for orbital (space-based) data centers. At the application layer, the company is pairing this compute with proprietary models and distribution surfaces, including Grok, X (formerly Twitter), and the recently announced $60bn acquisition of AI coding platform Cursor. Together, these solutions form a growing ecosystem of end-user and enterprise-facing AI products which will help the company address the $22.7tn total addressable market that is inherent in enterprise applications. In the sections below, we outline SpaceX's terrestrial compute strategy, orbital compute approach, and a discussion of its model and applications stack.

Exhibit 16: The company addresses an AI TAM of $26.5tn, inclusive of $22.7tn from enterprise applications
SpaceX AI TAM expectations



Source: SpaceX

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Terrestrial Compute

SpaceX's terrestrial compute strategy is increasingly aligned with the Neocloud model, positioning the company to monetize its Colossus data center footprint by leasing high-performance GPU capacity to external AI developers and enterprises in response to growing demand for AI infrastructure. We view this market constructively, as current demand for large-scale training and inference workloads continues to outstrip available supply of GPU clusters, creating a structural supply-demand imbalance. In our view, this dynamic should support high utilization rates and enable sustained pricing power, in the intermediate term, for providers of high-performance compute capacity, particularly those able to deliver at scale.

From a market size perspective, there is a notable gap between third-party estimates of Infrastructure-as-a-Service (IaaS) and SpaceX's internal framing of the AI opportunity. Gartner sizes the Total IaaS market at $261bn in 2026 and increasing to $500bn in 2029, while SpaceX outlines a $2.4tn TAM for AI infrastructure. We believe this difference is largely definitional, with Gartner focused on standardized terrestrial-based cloud services, while the company includes a more expansive AI stack, adding emerging categories such as orbital-based data centers. While the gap between these estimates is astronomical, literally, we note that SpaceX's claims still need to be validated.

Exhibit 17: The IaaS market is growing at a 24.6% CAGR from 2025-2028
Total IaaS market size, 2024-2029

IaaS Market ($bn)	2024	2025	2026	2027	2028	2029	CAGR (2025-2029)
Traditional IaaS	**164.308**	**188.847**	**223.344**	**266.425**	**322.593**	**390.368**	**19.9%**
YoY % Chg		14.9%	18.3%	19.3%	21.1%	21.0%	
% of Total	95.7%	91.1%	85.4%	81.4%	79.7%	78.1%	
AI-optimized IaaS	**7.447**	**18.545**	**38.267**	**60.717**	**82.249**	**109.339**	**55.8%**
YoY % Chg		149.0%	106.3%	58.7%	35.5%	32.9%	
% of Total	4.3%	8.9%	14.6%	18.6%	20.3%	21.9%	
Total IaaS	**171.755**	**207.392**	**261.611**	**327.142**	**404.842**	**499.707**	**24.6%**
YoY % Chg		20.7%	26.1%	25.0%	23.8%	23.4%	

Source: Gartner

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We see inference as the primary driver of continued exponential growth in compute demand, driven by both increasing usage intensity and structural shifts in how AI is deployed. Unlike traditional chat-based interactions, emerging agentic AI workflows can generate materially higher token volumes, at 10-1000x per task, as models iteratively plan, reason, and execute across multi-step processes. This shift meaningfully expands the compute required per user and per workflow, even absent growth in the underlying user base. This dynamic is broadly consistent with long-term expectations across leading model developers, where revenue expectation assumptions inherently embed rapid scaling in token generation and inference workloads over time, reinforcing a step-function increase in required global compute capacity.

Industry-leading ability to build and deploy compute infrastructure
Broader industry discussions around data center buildouts increasingly center on constraints across power availability, labor, and key components, which are dynamics we expect to persist given the accelerating pace of AI-driven demand. Against this backdrop, we believe SpaceX is structurally advantaged through its vertically integrated approach, as the company develops and constructs data centers in-house rather than relying on third-party developers or long-dated leasing structures. In our view, this model not only enables faster deployment timelines but also drives meaningful cost efficiencies, with management suggesting it can reduce the non-GPU portion of data center costs by ~50% relative to outsourced builds. For example, if a 1GW data center typically costs $50bn, where ~$35bn is for GPUs, SpaceX suggests it would only need to spend ~$7.5bn on the remaining infrastructure vs $15bn that the other market participants pay.

We also believe SpaceX's execution supports its ability to scale this strategy effectively, having demonstrated the capacity to build complex infrastructure quickly and at scale. For reference, SpaceX brought its first cluster of Colossus I online in 122 days and the first cluster of Colossus II in 91 days vs the typical 12-24 month average period in the industry. Importantly, the company is pursuing "behind-the-meter" power solutions, building their own power sources and directly integrating them with compute facilities, which should help mitigate one of the key bottlenecks facing the broader industry. Taken together, the combination of vertical integration, cost advantage, and differentiated power strategy positions SpaceX favorably as compute demand continues to outpace infrastructure supply.

Strong pricing power as demand outpaces supply
SpaceX has outlined distinct pricing frameworks across Neocloud-style leasing and higher-value enterprise AI workloads, reflecting differences in utilization, service and uptime guarantees, and software and tooling layers. This is resulting in higher pricing and is supported by the available capacity. The Neocloud price per watt has historically revolved around $10-$11, while enterprise applications run at about ~$22 per watt annually. The company's recent deals, outlined below, appear to be priced meaningfully above the $10-$11 range, mainly supported by capacity availability in a constrained market. GPU spot pricing has remained strong since the beginning of the year, with the constrained supply underpinning SpaceX's favorable pricing environment.

Newer entrant in an evolving market
The competitive landscape in AI compute spans a range of providers, including Neoclouds such as CoreWeave and Nebius, hyperscalers including Amazon and Microsoft, and Oracle in the middle. These players employ varying build strategies, ranging from full in-house development to colocation, leasing, and hybrid models, and operate across a wide spectrum of capacity profiles, with hyperscalers maintaining global scale advantages while newer entrants focus on targeted GPU density. However, we do not currently view the compute market as structurally competitive. Demand for AI compute far exceeds supply, and access to capacity, rather than provider selection, is the primary gating factor, forcing customers to secure supply and pay different prices to the various vendors.

Within this context, we view SpaceX as an emerging entrant with its target to scale into one of the largest, if not the largest, compute providers over time. The company's vertically integrated approach, combined with its ability to rapidly deploy capacity, positions it favorably against both Neocloud peers and established hyperscalers as the market continues to expand.

Data center sites

SpaceX currently has ~1GW of compute capacity as of 1Q26, up from ~800MW at the end of 2025. This compute is attributed to capacity at the company's Colossus I and Colossus II data centers, as outlined below:

- Colossus: 300MW+, entirely rented out to Anthropic, ~200K H100/H200 GPUs, took 122 days to get first cluster up and running, located in Memphis, TN

- Colossus II: estimated ~700MW+ of nameplate compute draw, made up of data centers in Memphis, TN and Southaven, MS, 331K GB200/GB300s, world's largest coherent cluster

Recently announced deals

In the last few weeks, SpaceX has moved to commercialize its terrestrial compute footprint through a series of agreements with third-party AI developers and enterprises. These agreements highlight early traction and provide initial validation of demand for scaled, high-performance infrastructure. We outline the deals announced below:

- May 2026: Anthropic cloud services agreement, access to 300MW+ of compute capacity across its Colossus I data center, $1.25bn per month through May 2029, 90-day termination policy by either party
- June 2026: Google cloud services agreement, access to ~110K GPUs, CPUs, memory, and more, $920mn per month from October 2026 through June 2029, 90-day termination policy by either party
- June 2026: Reflection AI computing power agreement, access to GB300 compute chips in Colossus II, $150mn per month from July 2026 through 2029, 90-day termination policy by either party

Orbital Compute

SpaceX's strategy is to pioneer the development of orbital data centers, an initiative that could establish a differentiated and durable competitive moat, if successfully executed. Unlike traditional providers, SpaceX is uniquely positioned to integrate launch, satellite manufacturing, and compute infrastructure, with the viability of this model closely tied to the success and scaling of Starship. In our view, this vertical integration represents a structural advantage that would be substantially difficult for incumbents to replicate.

Over the longer term, orbital data centers could offer a compelling economic proposition, particularly as declining launch costs and access to solar energy in space begin to offset the constraints associated with terrestrial capacity. While the concept remains early and execution risk is non-trivial, successful deployment could materially expand the supply of global compute and potentially shift the cost curve lower over time, reinforcing SpaceX's positioning as a next-generation infrastructure provider.

What is an orbital data center?

An orbital data center is effectively a compute facility deployed in space rather than on Earth, where satellites act as self-contained server nodes capable of running AI workloads. Instead of relying on traditional data center campuses with grid power, land, and water-based cooling, these systems operate in orbit using solar energy for power generation and radiative cooling to manage heat. In essence, each satellite functions as a modular unit of compute capacity, combining processing hardware with integrated power and thermal systems to perform training or inference tasks directly in space. This architecture represents a departure from centralized terrestrial facilities, creating a distributed network of compute nodes in orbit.

The rationale for this approach is rooted in the growing mismatch between compute demand and power and cooling constraints. As inference workloads scale, particularly with the rise of more complex AI applications, the need for power-dense infrastructure continues to increase. Earth-based deployments face mounting limitations across energy availability, permitting, land use, and cooling, which can slow or cap capacity expansion. Orbital data centers bypass many of these issues by moving compute into an environment where energy is unconstrained, and where infrastructure can be scaled without physical bottlenecks.

SpaceX's initial orbital approach centers on deploying purpose-built AI satellites designed to maximize power generation and thermal efficiency. The company's planned AI SAT Mini units are expected to deliver approximately ~100-150KW of compute power per satellite, effectively operating as individual data center nodes. The design prioritizes energy capture, with roughly 80% of the structure dedicated to solar arrays, while the remaining portion is focused on radiators to dissipate heat in the vacuum of space. Over time, these units are intended to scale into a broader orbital compute network, representing a new class of infrastructure that could surpass traditional data centers.

Orbital data centers are viable, but execution remains unproven

We view the long-term viability of orbital data centers as unproven and highly dependent on key technological milestones that have yet to be fully realized. In particular, the economic case is closely tied to the success of Starship and its ability to achieve rapid reusability and materially lower launch costs. Absent these step-function improvements in launch economics, orbital data centers are likely to remain cost-prohibitive relative to terrestrial alternatives, suggesting that while the concept is compelling, execution remains the key gating factor.

Heat management is another example of a unique problem for orbital compute, with the side facing the sun operating at over 250 degrees while the side facing the opposite way, operating at temperature close to zero Kelvin degrees. This difference creates challenges for the way photons and electrons flow and require some solution for heat equalization. These are just examples of possible challenges that the company may still need to overcome before turning this vision into reality.

SpaceX's prior execution with the Starlink constellation could be viewed as a positive factor when assessing its ability to deliver on orbital compute. The company has demonstrated a strong understanding of satellite design, manufacturing, and large-scale deployment, suggesting meaningful expertise in operating hardware in orbit. That said, extending this capability to data centers introduces additional technical complexities, particularly around power generation and thermal management, as space is a vacuum environment where traditional cooling methods are not viable. While these are non-trivial challenges, the ability to leverage abundant solar energy and radiative cooling in orbit has the potential to better address many of the power and thermal constraints faced by terrestrial data centers, reinforcing the long-term strategic rationale for the approach.

We note that the supply chain for orbital data centers remains nascent, with few traditional terrestrial data center component providers currently offering solutions designed to operate in space-based environments. As a result, SpaceX is likely constrained to a limited set of suppliers, while relying heavily on internal capabilities to bridge these gaps. In our view, this dynamic ultimately reinforces SpaceX's positioning, as its vertically integrated model, spanning satellite manufacturing, launch, and infrastructure, enables greater control over design and deployment. Accordingly, we believe SpaceX is well positioned to manage this more fragmented supply chain relative to peers, particularly as incumbents lack comparable in-house capabilities across both aerospace and compute infrastructure.

What it means for the market

If successful, SpaceX's planned ramp in orbital compute over the next 5 years has the potential to materially shift the industry cost curve. While greater supply should, in theory, drive lower unit economics over time, we believe this dynamic is likely to be offset by continued exponential growth in inference demand. As terrestrial buildouts face increasing bottlenecks around power, permitting, and infrastructure, orbital capacity could represent one of the few scalable sources of new supply, enabling SpaceX to command premium pricing on a per-watt basis for marginal compute, again, assuming it can overcome the unique challenges of this approach.

From a competitive standpoint, the introduction of meaningful orbital capacity could place incremental pressure on both hyperscalers and Neocloud providers. If executed right, successful existing players could face deteriorating returns on capital as customers gain access to alternative compute sources.

We view space-based compute as potentially the most differentiated aspect of SpaceX's AI strategy, with the potential to establish a wide and durable moat if successfully executed. Given the growth in global compute demand, access to unconstrained, scalable infrastructure could represent a structural advantage that competitors are unlikely to replicate. In this context, orbital data centers are not simply an incremental extension of existing capacity, but rather a fundamentally different paradigm that could redefine competitive dynamics across the AI infrastructure market.

TeraFab

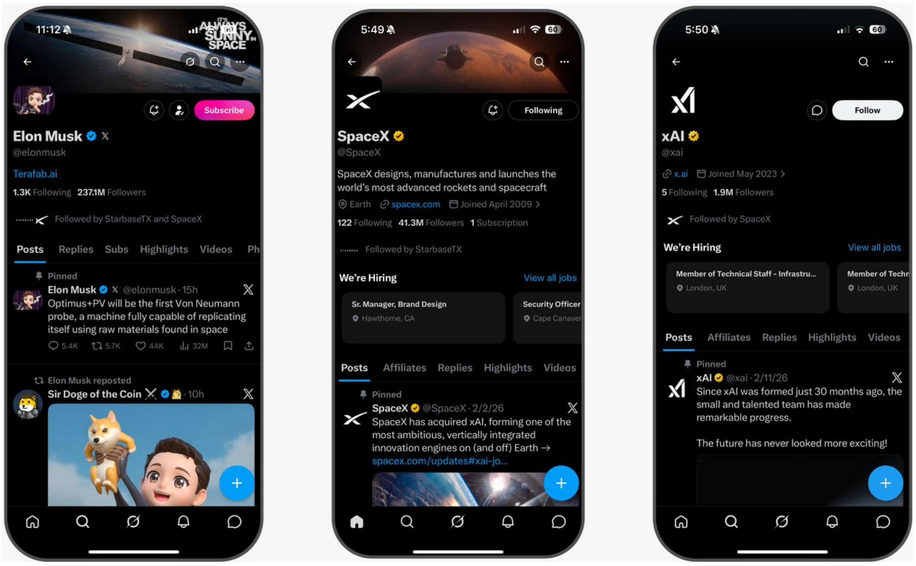
In line with SpaceX's historical strategy of maximizing vertical integration to drive efficiency and scale, SpaceX has articulated plans to fabricate its own AI chips, memory, and other compute components through TeraFab, in partnership with companies including Tesla and Intel. TeraFab is envisioned to support an order-of-magnitude scaling of AI chip production, ultimately supplying ~1 terawatt per year of compute capacity for deployments including orbital compute. We note that our Bull case, ramping to 1 TW of orbital compute deployment annually in the 2040s, assumes (and is likely reliant on) TeraFab's completion to supply that scale of compute hardware.

AI Model, Applications, and Advertising

X Platform Overview

X, formerly Twitter, is a leading global social platform with real-time user generated content flow across news, politics, finance, sports, media, live events, etc. The platform serves as a destination for public conversation and information discovery, enabling users to post content, share media, engage in discussions, participate in live group conversations, follow real-time events. Strategically, X is evolving beyond a traditional social network toward a broader AI-enabled consumer platform, with Grok integrated directly into the user experience to support post creation, content discovery, conversational AI, search, and personalized recommendations.

Exhibit 18: X, formerly Twitter, is a leading global social platform with real-time user generated content flow across news, politics, sports, media, live events
Snapshot of X Platform



Source: SpaceX

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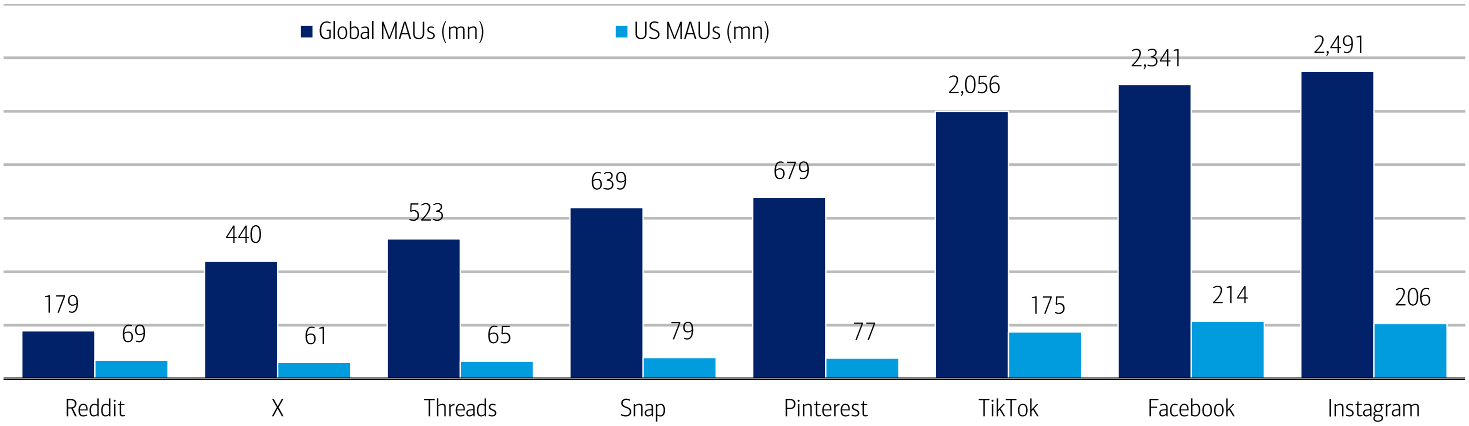
xAI's integrated platform ecosystem across Grok and X has ~1.3bn supported accounts active over the last twelve months ended March 31, 2026, including approximately 550mn monthly active users (MAU). Within this MAU base ~117mn users engaged with Grok's AI features. Per Sensor Tower, as of June 2026, X had 179mn global mobile monthly active users (61mn MAUs in the US). With Grok improvements and integration, SpaceX can look to scale X's user base toward other social networks.

Exhibit 19: Per Sensor Tower, as of June 2026, X had 179mn global mobile monthly active users (61mn MAUs in the US)
X Monthly Active Users vs Major Social Platforms (mn)



Source: Sensor Tower

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X to benefit from AI integration

X can leverage Grok-powered post creation, content suggestions, contextual ad targeting, and enhanced creative tools to improve both user engagement and advertiser outcomes. For users, Grok can reduce friction in content creation by helping draft posts, summarize conversations, surface relevant topics, and improve discovery across real-time events and trending discussions. This should make the platform more useful and personalized, supporting higher session frequency and stronger creator participation. For advertisers, Ai integrations will enhance creative generation, and contextual ad placement, improving targeting relevance and campaign ROI. Over time, deeper AI integration could create a reinforcing loop on the platform, where better recommendations drive engagement, higher engagement improves ad inventory and signal quality, and stronger ad performance supports higher monetization.

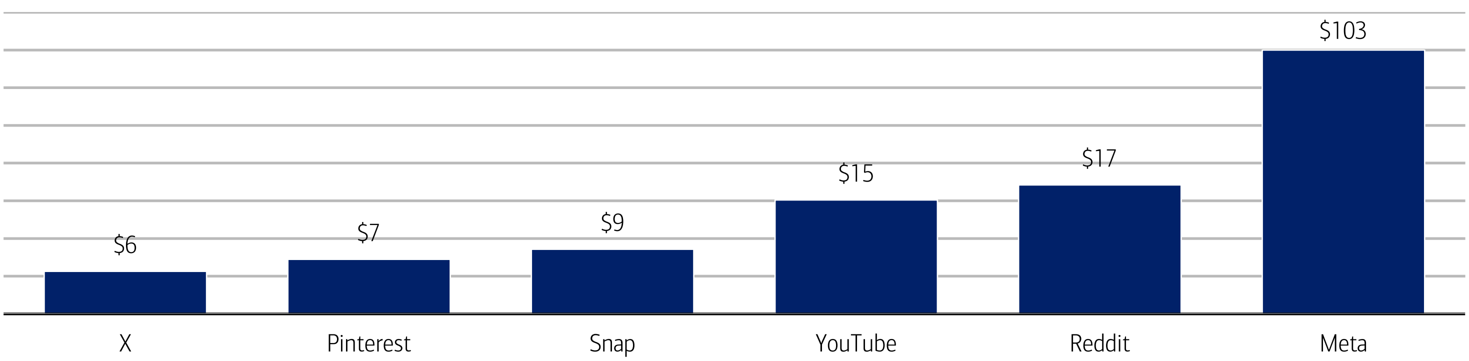
Growing Competition with Threads

With over 500mn MAUs (per Meta), Threads has emerged as a potential competitor to X in real-time text-based social networking. The platform benefits from Meta's distribution, enabling rapid user onboarding, social graph formation, and creator adoption with relatively low friction. Threads competes directly with X for short-form public conversation, creator engagement, and advertiser budgets, and could be strategically important for Meta in training its own LLM. In addition, as Meta ramps Threads monetization in 2026/27, the platform could become a more direct competitor for ad revenues.

X's revenue model anchored by advertising

X's monetization model is primarily anchored by advertising and the platform is also building incremental revenue streams across Premium subscriptions, creator monetization, and AI-enabled services tied to Grok and xAI integration. X offers advertisers a broad suite of ad products, including promoted posts, video ads, carousels, sponsored content, and other premium placements, etc. In April'26, X began a phased rollout of a new Ads Manager, designed to help advertisers launch campaigns more efficiently, improve targeting relevance, and drive stronger ROI. Beyond advertising, X Premium subscriptions, including Basic, Premium, and Premium+ tiers, provide expanded user features, reduced ad loads, and priority access to Grok, creating an incremental monetization layer as X evolves into a broader AI-enabled consumer platform. In 2025, X generated $1.8bn advertising revenue, which we expect to grow to 35% y/y to $2.5bn in 2026 and 68% y/y to $4.2bn in 2027. The 2027 revenue estimate implies average annual revenue per MAU of around ~$8, assuming on ~500mn global MAUs, which remains relatively low versus major social platforms & suggests meaningful opportunity if X improves targeting, rebuilds advertiser demand and broadens monetization through subscriptions & Grok-enabled services.

Exhibit 20: 2026 X ARPU remains relatively low versus major social platforms and suggests meaningful growth opportunity
X Global ARPU vs Major Social Platforms ($), 2026



Source: Sensor Tower, BofA Global Research Estimates
Note: Estimates based on Sensor Tower June 2026 MAU estimates and full year 2026 ad revenue estimates

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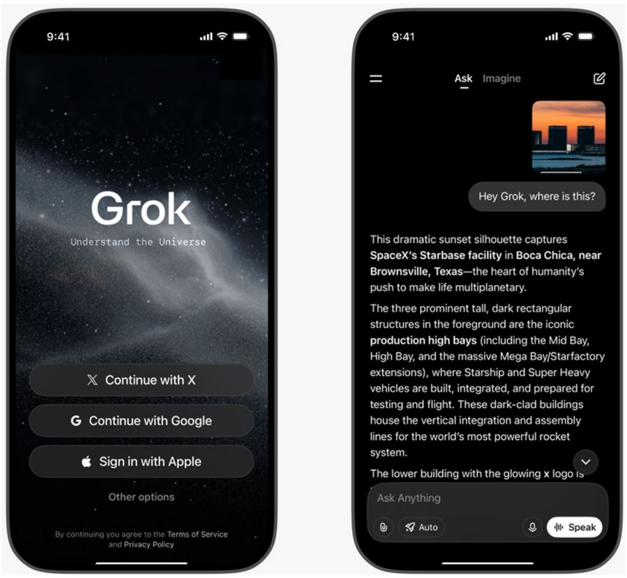
Grok Platform Overview

Grok is xAI's large language model and AI assistant, integrated into X and available through Grok products. It is designed to provide conversational answers, reasoning, real-time information synthesis, coding help, research support, and multimodal capabilities such as image/document analysis and image/video generation. The model is positioned around a truth-seeking philosophy, meaning it is intended to generate responses grounded in evidence, logic, empirical data, and first-principles reasoning. Since launching Grok-1 in November 2023, xAI has rapidly advanced the model family through four major releases, with Grok 4.3 representing the latest version. The company is also developing next-generation models, including Grok-5, which are expected to further improve reasoning depth, multimodal capabilities, latency, and domain-specific performance. Per Sensor Tower, as of June 2026, standalone Grok app has 49mn global monthly active users and 12mn US MAUs.

Exhibit 21: Grok is xAI's large language model and AI assistant, integrated into X and available through Grok products
Snapshot of Grok Platform



Source: SpaceX

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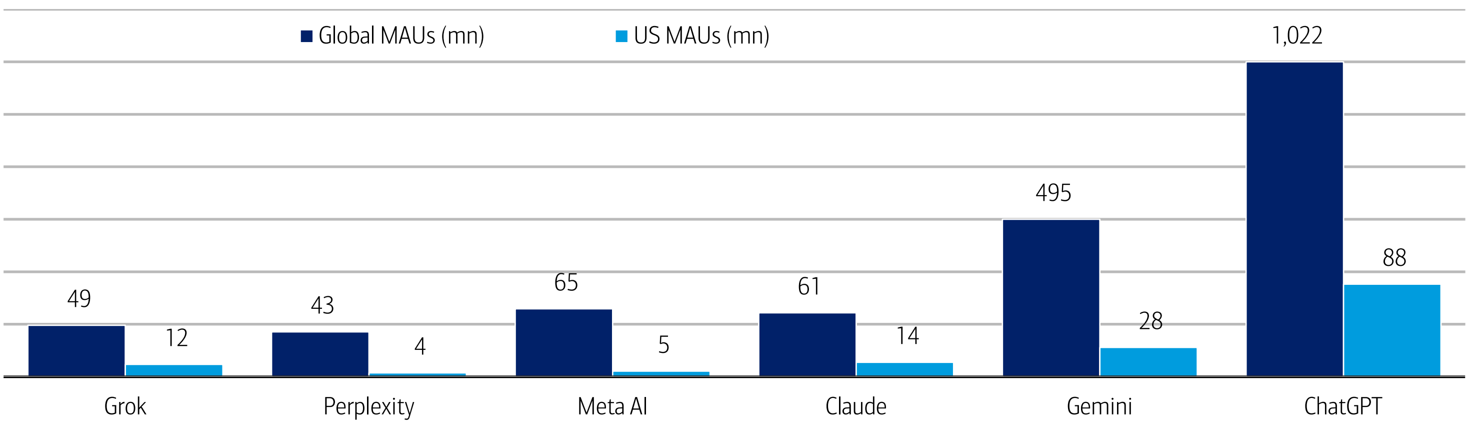
Exhibit 22: Per Sensor Tower, as of June 2026, standalone Grok app has 49mn global monthly active users and 12mn US MAUs
Monthly Active Users across major AI platforms (mn)



Source: Sensor Tower

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Grok has real time data advantages

Grok's key competitive differentiation is its deep integration with X, which provides proprietary access to real-time information stream of ~350mn daily posts. This direct access to live public discourse enhances Grok's contextual awareness and positioning as a truth-seeking AI model grounded in up-to-date information and real-time human conversation. More broadly, xAI is positioned as a full-stack AI platform spanning proprietary data, model development, compute infrastructure, and consumer-facing applications, with X serving as both a distribution channel & differentiated data layer.

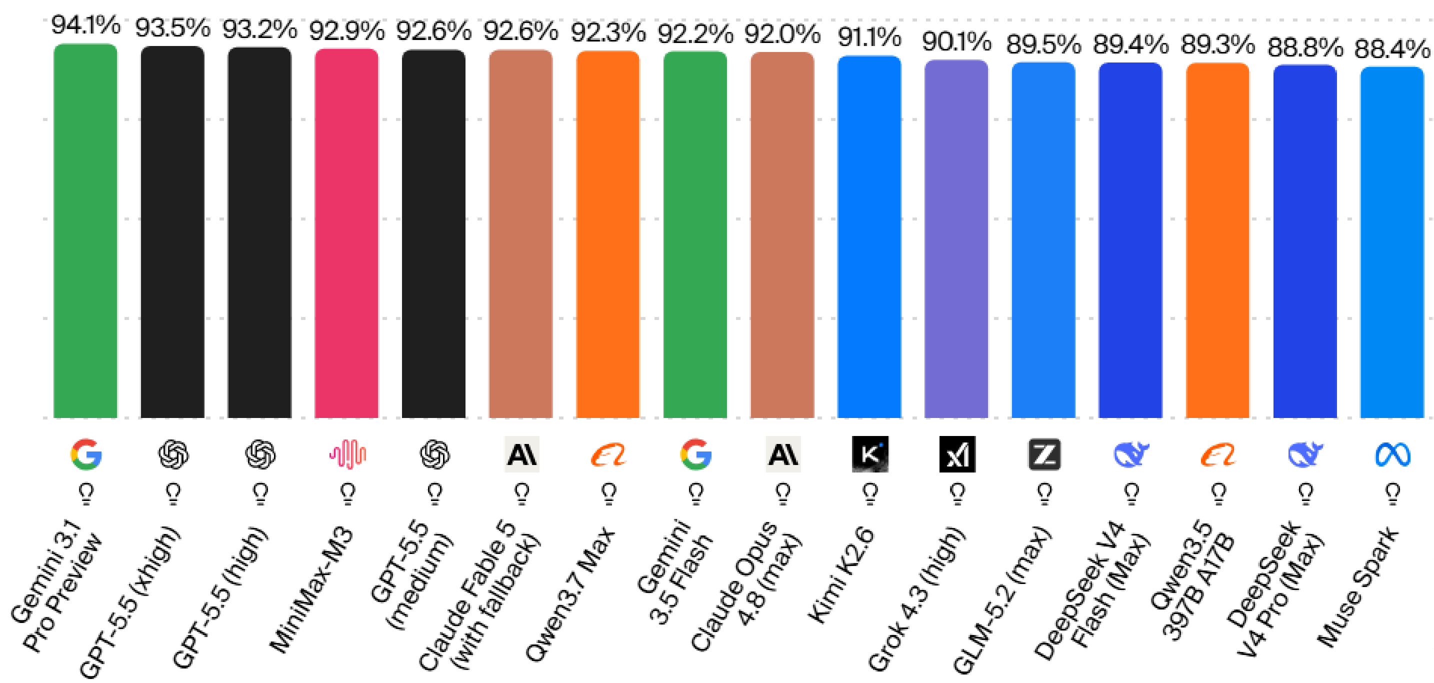
Grok Positioning vs competing LLMs

Compared with competing LLMs, Grok is positioned as a truth-seeking AI model. While competing LLMs may currently have stronger positions in enterprise, developer, and productivity ecosystems, Grok's differentiation lies in its real-time data advantage, scaled consumer distribution through X, rapid development cadence, and potential infrastructure benefits from the broader SpaceX ecosystem. Grok also benefits from native distribution through X, where it is embedded directly into consumer workflows creating a scaled feedback loop across user engagement, data, and model improvement.

Since launch, xAI has delivered four major Grok releases, with Grok-4.3, released in April 2026, marking the latest and most advanced iteration. Within two years of its initial release, Grok achieved frontier-level performance in scientific reasoning, as reflected in its GPQA Diamond score (a benchmark metric used to evaluate how well AI models perform on highly challenging graduate-level science questions).

Exhibit 23: Grok's differentiation lies in its real-time data advantage, scaled consumer distribution through X, rapid development cadence, and potential infrastructure benefits from the broader SpaceX ecosystem

Grok 4.3 GPQA Diamond score vs competing models



Source: artificialanalysis.ai

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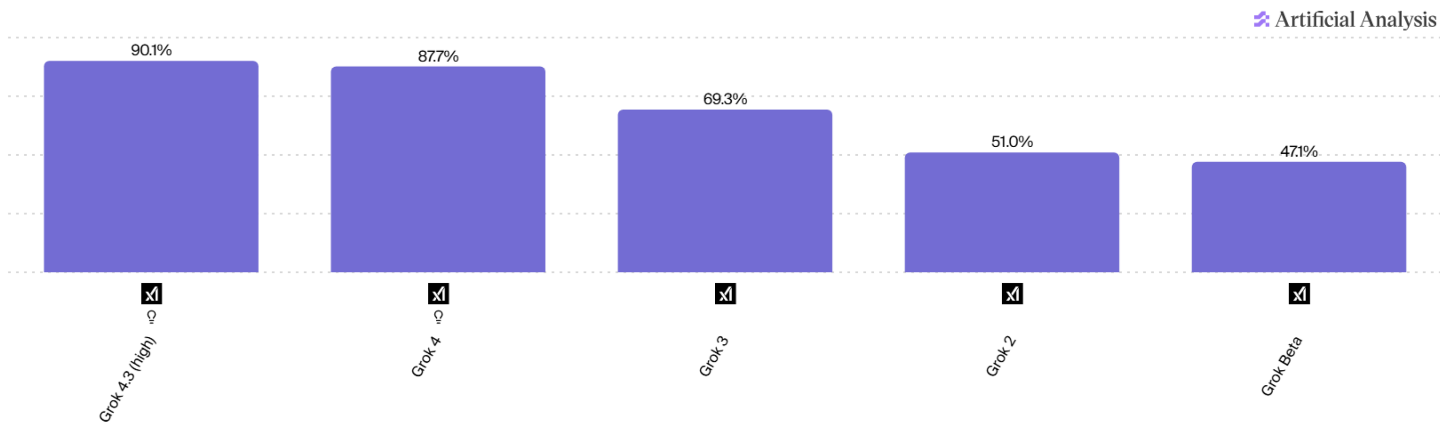
Exhibit 24: Within two years of its initial release, Grok achieved frontier-level performance in scientific reasoning
GPQA Diamond score of various Grok models



Source: artificialanalysis.ai

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Grok monetization spans consumer and enterprise

Grok's monetization model is in early-stage but has opportunities across multiple revenue vectors, including paid consumer subscriptions, enterprise/API access, and indirect monetization through deeper integration with X. On the consumer side, xAI offers multiple Grok subscription tiers, with higher-priced plans providing expanded access to advanced models, increased usage limits, priority compute, and premium features. On the enterprise side, xAI monetizes Grok through API access and team/workflow products, enabling developers and organizations to embed Grok's reasoning, vision, image generation, voice AI, real-time search, and tool-use capabilities into production applications.

X & Grok strategic synergies with the SpaceX platform

The vision for Grok

SpaceX is looking to leverage its compute capacity (Colossus supercluster), live conversational data and "truth-seeking" AI with differentiated content moderation to differentiate vs other AI LLMs. Leveraging GPU capacity, SpaceX has indicated that Grok 5 will scale to trillions of parameters (a significant uptick from Grok 4) utilizing a a Mixture-of-Experts (MoE) architecture. Synergies with the SpaceX platform include:

Infrastructure capacity and cost advantage for xAI from SpaceX: SpaceX's terrestrial data center buildout (COLOSSUS and COLOSSUS II, collectively provide approximately 1.0 gigawatt of compute power), and longer-term potential for orbital data centers, could provide xAI with differentiated access to AI compute capacity. If successful, leveraging SpaceX infrastructure, including lower-cost energy, more efficient cooling, and vertically integrated deployment capabilities, could reduce training and inference costs relative to traditional cloud-based infrastructure.

Data advantage for xAI from X: X provides xAI with a scaled, real-time stream of conversational, behavioral, and interest-based data across news, politics, finance, sports, media, entertainment, and live events. This high-velocity data layer can support model training, fine-tuning, and real-time context integration, while the direct user feedback loop may enable faster iteration and more relevant model outputs.

AI integration advantage for X from xAI: Deeper integration with xAI should enhance X's product experience and monetization potential through improved content ranking, discovery, personalization, and ad targeting. AI-driven recommendation systems can increase engagement by surfacing more relevant content, while AI-enhanced advertising tools can improve audience matching, creative optimization, measurement, and campaign ROI. Meta has shown that better AI-driven content and ad systems can materially improve engagement and monetization, suggesting a meaningful opportunity for X as xAI capabilities scale.

Distribution advantage for X and xAI from Starlink: Starlink provides a global direct-to-consumer connectivity layer that could become a strategic distribution channel for X and xAI products. Over time, SpaceX could promote X, X Premium, Grok, or xAI services through Starlink subscriber interfaces, account bundles, and device-level integrations. Bundled offerings, such as Starlink connectivity with X Premium or Grok access, could support customer acquisition, improve retention, increase ARPU, and expand the addressable market in regions where traditional broadband and mobile infrastructure remain limited.

Vertical integration advantage for margins: The combined ecosystem could benefit from vertical integration across compute infrastructure, proprietary data, AI models, consumer distribution, and connectivity. By operating using internal compute capacity, data sources, and broadband networks, SpaceX/xAI/X could capture more economics across the value chain and improve long-term margin structure. At scale, this integrated model may create a structural advantage in AI training and inference costs, user acquisition efficiency, and monetization, while also increasing strategic control over product development and infrastructure deployment.

X Advertising and Subscription Revenues

Advertising revenues

In 2025, xAI generated $1.8bn advertising revenue. In our base case scenario, we expect advertising revenue to grow at ~52% CAGR (2025-31) to $22.8bn by 2031, representing approx. 1.3% of the global advertising market (vs 0.2% in 2025). In bull case scenario, we expect advertising revenue to grow at ~78% CAGR (2025-31) to $58.4bn by 2031, representing approx. 3.2% of the global advertising market. In bear case scenario, we expect advertising revenue to grow at ~39% CAGR (2025-31) to $13.2bn by 2031, representing approx. 0.7% of the global advertising market.

Cursor

The next leg of SpaceX's AI application strategy stems from its recent acquisition of Cursor for $60bn. Cursor is an AI-native coding platform that leverages its own proprietary AI model that allows users to generate, edit, and debug code through natural language. Since Cursor's launch, the company has experienced strong momentum, with ARR reaching $1bn within the first 2 years of the company's history and now reportedly at ~$4bn, up from $2bn in February. This scale has been driven by broad adoption among developers and increasing penetration within enterprise environments, at ~67% of the F500, positioning it as one of the leading applications in the emerging AI-powered software development category. With Cursor, we believe SpaceX gains a pathway to drive increased adoption of Grok while strengthening its overall AI application narrative, positioning the company to more effectively address the $22.7tn enterprise applications opportunity. At the same time, Cursor provides valuable tools, distribution, and data that can accelerate SpaceX's coding-based AI efforts, helping narrow the gap with leading competitors such as Anthropic and OpenAI.

However, we see several uncertainties around Cursor's long-term positioning within the SpaceX ecosystem. One of the primary questions is how the platform evolves under ownership by a single model developer (i.e., xAI), versus leveraging third-party AI models like it has previously done. A shift toward tighter integration with Grok could enhance verticalization but may come at the expense of innovation and flexibility that has historically driven adoption. Further, the software development lifecycle itself is undergoing rapid change, with AI increasingly embedded across ideation, coding, testing, and deployment, raising questions as to how traditional IDEs and coding interfaces will evolve to lead this transition.

Our AI Financial Estimates

Strong multi-year revenue growth expectations

- As of FY25, AI accounted for 17.1% of total revenues, but we see this segment quickly becoming the biggest and most important driver of growth, with expectations for AI to represent 75.2% of total revenues in FY31
- We expect total AI revenue growth to be 473.3% in FY26, 151.7% in FY27, and 63.1% in FY31, representing a 139% CAGR from 2025-2031
- Growth is dependent on the Company's ability to increase its compute capacity being sold to third parties, gain share in advertising and in AI applications among enterprise and consumer customers.

Exhibit 25: AI revenue to grow at a 139% CAGR from 2025-2031E
AI revenue estimates, 2025-2031E

	2025	2026	2027	2028	2029	2030	2031
AI Revenues	**3,201.0**	**18,351.0**	**46182.4**	**90194.5**	**183,045.1**	**362,950.9**	**592,073.8**
YoY Growth (%)		473.3%	151.7%	95.3%	102.9%	98.3%	63.1%
% of Total Revenues	17.1%	45.0%	59.1%	63.2%	69.4%	73.5%	75.2%

Source: BofA Global Research estimates, company filings

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Compute buildout pressures margins, but growth supports overall profile

- We expect gross margins to be 65-80% from FY26-FY31, consistent with the gross margin profile of Neocloud companies, with some fluctuation related to buildout timing and utilization
- We project operating margins to go from -183.3% in FY25 to -5.8% in FY26, and meaningfully improve to 43-46% in FY30/FY31 as revenues ramp, launch becomes increasingly cost-effective, and Terafab in-house production supports higher margins. For context, CoreWeave and Nebius are targeting half of this amount, at 25-30% margins.
- We expect Free cash flow margins to be negative from FY26-FY31, a function of securing access to GPUs and build data centers and orbital compute infrastructure. We model positive FCF margin for 2032, at +13.5%, attributed to scale and cost advantages we outlined above.

Exhibit 26: Gross margin and operating margin to be 74.8% and 27.0% in 2028E, respectively
AI margin profile estimates, 2025-2031E

	2025	2026	2027	2028	2029	2030	2031
AI Revenues	3,201.0	16,511.0	34,482.4	73,394.5	183,045.1	362,950.9	592,073.8
YoY Growth (%)		415.8%	108.8%	112.8%	149.4%	98.3%	63.1%
Gross Profit	1,023.0	12,009.8	25,274.1	54,875.3	133,799.0	271,410.0	428,444.4
Gross Margin	32.0%	72.7%	73.3%	74.8%	73.1%	74.8%	72.4%
Operating Profit	(5,868.0)	(2,899.9)	(278.0)	19,851.0	77,716.4	193,985.5	321,009.9
Operating Margin	-183.3%	-5.8%	24.7%	40.6%	35.6%	42.6%	45.6%
EBITDA	(2,300.0)	7,940.1	29,822.0	66,651.0	137,201.5	294,478.5	479,830.2
EBITDA Margin	-71.9%	43.3%	64.6%	73.9%	75.0%	81.1%	81.0%
Free Cash Flow	(13,846.0)	(26,338.6)	(42,744.8)	(51,194.1)	(193,690.8)	(237,913.1)	(63,920.6)
FCF Margin	-432.6%	-143.5%	-92.6%	-56.8%	-105.8%	-65.5%	-10.8%

Source: BofA Global Research estimates, company filings

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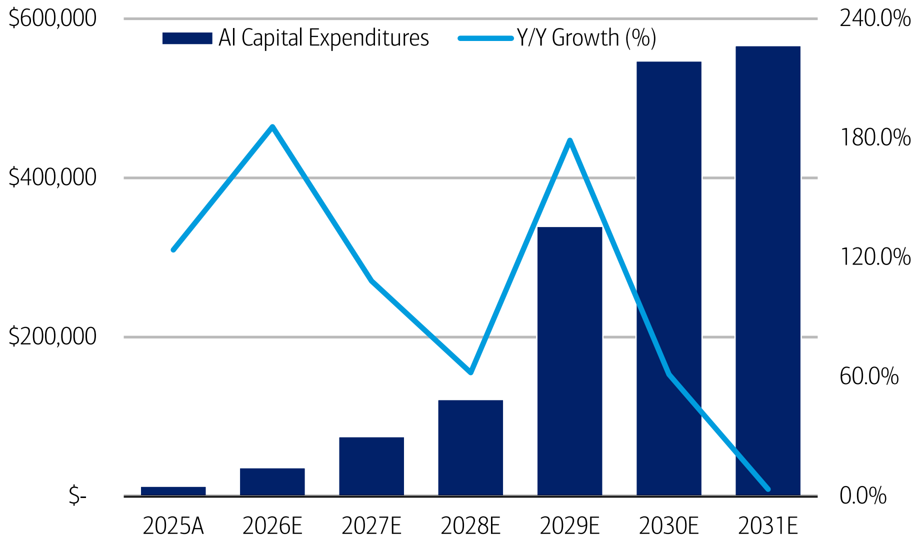
Capital Expenditures Elevated to Meet Demand

- We expect SpaceX's AI capital expenditures to increase significantly as it builds infrastructure to support fast-growing AI workloads and demand, rising from $36.0bn in 2026 to $566.3bn in 2031

- Both terrestrial and orbital data center builds, as well as Terafab, will impact this increase, with orbital becoming a bigger portion of capex over time as Starship launches ramp
- This investment is critical to sustaining SpaceX's rapid growth trajectory and ensuring the company can deliver the capacity, performance, and reliability required for increasingly complex AI workloads

Exhibit 27: AI capex to grow at 88.5% CAGR in 2025-2031, with growth moderating in 2031
AI Capital expenditures, 2025-2031E



Source: BofA Global Research estimates, company filings

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AI Infrastructure to be the primary growth driver

- We expect total AI Solutions & Infrastructure Revenue to grow 1,069.4% in FY26, 165% in FY27, and at a CAGR of 173.6% from 2025-2031
- Within AI Solutions & Infrastructure revenue, we model Sold AI Infrastructure revenues to represent 75-83% from 2026-2031 and grow at a 108.2% CAGR from 2026-2031. Growth is supported by an increase in GW capacity as well as pricing power per watt.
- We expect SpaceX to have 3GW of compute capacity by the end of 2027, with all capacity coming from terrestrial sources. By the end of 2031, we project the company to have 39.7GW of capacity. We model terrestrial capacity to ramp from 3GW to 9.3GW and Orbital capacity to ramp from 0 to 30.4GW. This is also the main risk driver in our AI model. Should the company face challenges in ramping the orbital capacity, revenues and margins will change dramatically, as our model is based on the assumption that the company will be successful in ramping its orbital data centers.
- Orbital compute capacity ramp is associated with the # of starship launches per year, which we expect to be 83 in 2028 and grow to 1,800 in 2031, and the MW load per launch, which we model to be 4.82MW in 2028 and increase to 8.33MW in 2031
- We expect terrestrial compute to reach a peak at 9.3GW in 2030/2031, as orbital compute expands and becomes more cost-effective

Exhibit 28: AI Solutions & Infra. Revenue to grow at a 173.6% CAGR from 2026-2031
AI Solutions & Infrastructure revenue estimates, 2025-2031E

	2025	2026	2027	2028	2029	2030	2031
Average MW	**499.0**	**1,119.0**	**2,250.0**	**4,200.0**	**8,900.0**	**18,550.0**	**32,200.0**
% MW Sold to 3rd Party		40.0%	40.0%	50.0%	70.0%	75.0%	85.0%
$/Watt			$35.00	$30.00	$22.00	$19.29	$16.92
Sold Infrastructure Revenue		**$11,840.0**	**$31,500.0**	**$63,000.0**	**$137,060.0**	**$268,384.5**	**$462,974.0**
YoY Growth (%)			166.0%	100.0%	117.6%	95.8%	72.5%
% MW Internal Capacity		60.0%	60.0%	50.0%	30.0%	25.0%	15.0%
$/Watt	$2.72	$6.00	$7.78	$10.09	$13.08	$16.97	$22.00
AI Applications Revenue	**$1,357.0**	**$4,028.4**	**$10,503.6**	**$21,187.5**	**$34,932.2**	**$78,677.8**	**$106,260.0**
YoY Growth (%)		196.9%	160.7%	101.7%	64.9%	125.2%	35.1%
Total AI Solutions & Infra. Revenue	**$1,357.0**	**$15,868.4**	**$42,003.6**	**$84,187.5**	**$171,992.2**	**$347,062.3**	**$569,234.0**
YoY Growth (%)		1069.4%	164.7%	100.4%	155.2%	101.8%	64.0%

Source: BofA Global Research estimates, company filings

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Exhibit 29: SpaceX to have 39.7GW of compute capacity by end of 2031E, with 30.4GW coming from orbital compute
Compute capacity estimates, 2025-2031E

	2025	2026	2027	2028	2029	2030	2031
Terrestrial	**738.0**	**1,500.0**	**3,000.0**	**5,000.0**	**7,000.0**	**9,300.0**	**9,300.0**
Orbital				**400.0**	**5,400.0**	**15,400.0**	**30,400.0**
New Orbital Deployments				400.0	5,000.0	10,000.0	15,000.0
Starship Launches				83	864	1,440	1,800
MW/Launch				4.82	5.79	6.94	8.33
Total End Nameplate Draw	**738.0**	**1,500.0**	**3,000.0**	**5,400.0**	**12,400.0**	**24,700.0**	**39,700.0**

Source: BofA Global Research estimates, company filings

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SpaceX comparable universe

Exhibit 30: SpaceX's comparables are broad given exposure to space, communications, and AI; comparable groups trade between HSD times 2027E EBITDA (AI infrastructure) to 60x+ (high growth tech, space and defense tech)

SpaceX comp group and valuation metrics

	7/1/26	($,bn) Equity	($,bn) Enterprise	EV/EBITDA (x)			EV/Revenue (x)			EV/Revenue/Growth			Revenue Growth			EBITDA Margins		
Company	Price	Cap ($,bn)	Value ($, bn)	2026CY	2027CY	2028CY	2026CY	2027CY	2028CY	2026CY	2027CY	2028CY	2026CY	2027CY	2028CY	2026CY	2027CY	2028CY
SpaceX BofAe		**3,054**	**3,068**	**157.3x**	**63.7x**	**31.4x**	**75.3x**	**39.2x**	**21.5x**	**0.6x**	**0.4x**	**0.3x**	**118.3%**	**91.8%**	**82.6%**	**47.8%**	**61.6%**	**68.4%**
Semis																		
NVIDIA Corp	196	4,741	4,636	17.4x	12.2x	9.8x	11.8x	8.3x	6.7x	0.1x	0.2x	0.3x	83.7%	42.7%	22.8%	66.7%	66.4%	65.6%
Marvell Technology Inc	279	244	246	52.8x	35.9x	24.1x	21.3x	14.7x	10.5x	0.5x	0.3x	0.3x	40.9%	45.5%	40.1%	39.5%	41.0%	43.9%
Micron Technology Inc	1,055	1,192	1,168	10.9x	5.5x	4.7x	7.1x	4.4x	4.1x	0.0x	0.1x	0.5x	302.2%	60.7%	8.5%	88.8%	87.9%	82.6%
Average				**27.0x**	**17.9x**	**12.9x**	**13.4x**	**9.1x**	**7.1x**	**0.2x**	**0.2x**	**0.3x**	**142.3%**	**49.7%**	**23.8%**	**65.0%**	**65.1%**	**64.0%**
Space Communications																		
AST SpaceMobile Inc	86	33	34	-	173.0x	29.8x	200.8x	45.3x	18.5x	1.1x	0.1x	0.1x	188.8%	343.5%	144.7%	(154.5%)	26.2%	62.1%
Iridium Communications	56	6	8	15.4x	14.8x	14.1x	8.4x	8.1x	7.6x	3.0x	2.1x	1.2x	2.8%	3.8%	6.1%	54.1%	54.2%	53.9%
Viasat Inc	89	12	17	10.8x	10.4x	9.9x	3.6x	3.5x	3.6x	0.7x	0.9x	-1.6x	4.9%	3.7%	(2.2%)	32.3%	32.3%	34.9%
Globalstar Inc	81	10	11	72.5x	60.3x	38.1x	36.4x	31.3x	20.7x	4.9x	1.9x	0.4x	7.5%	16.4%	51.2%	49.9%	51.5%	54.0%
Average				**32.9x**	**64.6x**	**23.0x**	**62.3x**	**22.0x**	**12.6x**	**2.4x**	**1.3x**	**0.0x**	**51.0%**	**91.8%**	**50.0%**	**(4.5%)**	**41.1%**	**51.2%**
Other Mega Cap Tech																		
Apple Inc	295	4,330	4,268	25.1x	23.2x	21.4x	8.8x	8.0x	7.7x	0.6x	0.9x	1.6x	14.7%	9.3%	4.8%	36.6%	37.6%	38.9%
Microsoft Corp	386	2,867	2,914	12.0x	9.8x	8.0x	8.2x	7.0x	5.8x	0.4x	0.4x	0.3x	18.7%	18.2%	20.7%	60.6%	61.8%	62.0%
Amazon.com Inc	242	2,605	2,689	12.3x	9.8x	8.0x	3.3x	2.9x	2.6x	0.2x	0.2x	0.2x	15.4%	13.2%	10.9%	25.1%	27.4%	28.7%
Average				**16.5x**	**14.3x**	**12.5x**	**6.8x**	**6.0x**	**5.3x**	**0.4x**	**0.5x**	**0.7x**	**16.3%**	**13.5%**	**12.1%**	**40.7%**	**42.2%**	**43.2%**
Ads																		
Meta Platforms Inc	626	1,590	1,596	12.6x	10.2x	8.1x	6.3x	5.3x	4.5x	0.2x	0.3x	0.3x	26.9%	19.3%	17.1%	56.1%	59.4%	63.7%
Reddit Inc	191	37	34	24.3x	17.5x	13.4x	10.5x	8.0x	6.4x	0.2x	0.2x	0.3x	50.6%	32.0%	25.1%	35.1%	38.1%	42.3%
Alphabet Inc	358	4,381	4,350	18.9x	15.0x	12.0x	10.2x	8.5x	7.2x	0.4x	0.4x	0.4x	25.4%	19.8%	17.8%	41.0%	42.0%	42.1%
Average				**18.6x**	**14.3x**	**11.2x**	**9.0x**	**7.3x**	**6.0x**	**0.3x**	**0.3x**	**0.3x**	**34.3%**	**23.7%**	**20.0%**	**44.0%**	**46.5%**	**49.4%**
AI Infra + Compute																		
Oracle Corp	146	421	562	10.3x	7.1x	5.0x	7.4x	5.3x	3.6x	0.3x	0.1x	0.1x	24.6%	39.7%	46.9%	56.7%	57.2%	57.5%
CoreWeave Inc	86	47	80	9.5x	4.4x	2.8x	6.3x	3.2x	2.0x	0.0x	0.0x	0.0x	148.1%	98.2%	58.4%	58.2%	62.8%	63.4%
Nebius Group NV	234	59	60	42.5x	9.6x	4.6x	17.8x	5.5x	2.9x	0.0x	0.0x	0.0x	501.4%	224.8%	86.4%	41.1%	55.8%	62.5%
Average				**20.8x**	**7.1x**	**4.1x**	**10.5x**	**4.6x**	**2.8x**	**0.1x**	**0.1x**	**0.0x**	**224.7%**	**120.9%**	**63.9%**	**52.0%**	**58.6%**	**61.1%**
Other High Growth																		
Tesla Inc	429	1,611	1,583	107.2x	83.9x	64.4x	15.4x	13.4x	11.4x	1.9x	0.9x	0.7x	8.1%	15.4%	16.9%	14.3%	15.9%	17.7%
Palantir Technologies Inc	127	305	298	66.5x	45.5x	31.8x	38.5x	26.6x	18.4x	0.5x	0.6x	0.4x	75.8%	45.0%	44.6%	57.9%	58.4%	57.8%
Average				**86.8x**	**64.7x**	**48.1x**	**27.0x**	**20.0x**	**14.9x**	**1.2x**	**0.7x**	**0.5x**	**41.9%**	**30.2%**	**30.8%**	**36.1%**	**37.1%**	**37.7%**
Other Space / Defense																		
Firefly Aerospace Inc	29	5	4	-	-	97.7x	9.7x	6.1x	3.9x	0.1x	0.1x	0.1x	185.3%	59.9%	55.8%	(60.0%)	(19.2%)	4.0%
Intuitive Machines Inc	21	5	5	175.8x	66.1x	27.8x	5.1x	4.2x	3.4x	0.0x	0.2x	0.1x	314.3%	21.0%	23.3%	2.8%	6.2%	12.0%
Rocket Lab Corp	101	63	62	-	535.2x	220.9x	67.3x	48.1x	37.4x	1.3x	1.2x	1.3x	52.7%	39.9%	28.6%	(5.7%)	9.0%	16.9%
Northrop Grumman Corp	520	74	89	14.0x	13.2x	12.4x	2.0x	1.9x	1.8x	0.4x	0.3x	0.3x	5.1%	6.7%	5.9%	14.1%	14.0%	14.1%
Average				**68.5x**	**157.2x**	**74.4x**	**17.4x**	**12.6x**	**9.8x**	**0.4x**	**0.4x**	**0.4x**	**112.9%**	**27.1%**	**24.3%**	**-6.1%**	**5.7%**	**12.9%**
Total Average				**36.3x**	**53.5x**	**29.6x**	**22.1x**	**11.8x**	**8.4x**	**0.8x**	**0.5x**	**0.3x**	**91.5%**	**51.6%**	**32.3%**	**27.3%**	**39.3%**	**43.4%**

Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

SpaceX management team

Elon Musk, Chief Executive Officer, Chief Technical Officer, and Chairman

Elon Musk has served as Chief Executive Officer, Chief Technical Officer and Chairman since May 2002. Mr. Musk is also the Technoking of Tesla and has served as Chief Executive Officer of Tesla since October 2008. Mr. Musk was Chief Technology Officer and on the board of directors of X, beginning October 2022 and served as the Chief Executive Officer and on the board of directors of xAI, beginning March 2023, in each case through the March 2025 merger of X and xAI. Following the merger, Mr. Musk served as the President, Treasurer, and Chief Executive Officer and on the board of directors of xAI, until it was acquired by the Company in February 2026. Mr. Musk is also a founder and Chief Executive Officer of Neuralink Corp., a company focused on developing brain-machine interfaces, and The Boring Company, an infrastructure company. Prior to SpaceX, Mr. Musk co-founded PayPal, an electronic payment system, which was acquired by eBay in October 2002, and Zip2 Corporation, a provider of Internet enterprise software and services, which was acquired by Compaq in March 1999. Mr. Musk serves on the board of directors of Tesla and previously served on the board of directors of Endeavor Group Holdings, Inc. from April 2021 to June 2022. Mr. Musk holds a B.A. in Physics from the University of Pennsylvania and a B.S. in Business from the Wharton School of the University of Pennsylvania.

Gwynne Shotwell, President and Chief Operating Officer

Gwynne Shotwell has served as President and Chief Operating Officer since 2008 and has been a board member since March 2009. Previously, Ms. Shotwell served as Vice President, Business Development, from 2002 to 2008. Prior to joining SpaceX, Ms. Shotwell held positions with Microcosm, Inc., an aerospace company, as a director, and The Aerospace Corporation, an independent, non-profit organization performing objective technical analyses and assessments for a variety of government, civil, and commercial customers, as a senior project engineer. Ms. Shotwell also serves on the board of directors of Polaris, Inc., a manufacturer of powersports vehicles, and on Northwestern University's Board of Trustees. Ms. Shotwell holds a B.S. in Mechanical Engineering and an M.S. in Applied Mathematics from Northwestern University.

Bret Johnsen, Chief Financial Officer

Bret Johnsen has served as Chief Financial Officer since 2011. Mr. Johnsen leads global finance organization and is responsible for long-term financial strategy, internal financial operations, interactions with the financial community, and the financial aspects of growth initiatives. Prior to joining SpaceX, Mr. Johnsen served as Chief Financial Officer at Mindspeed Technologies, Inc., a publicly traded semiconductor company, from 2008 to 2011. Prior to that role, he spent nearly a decade at Broadcom Inc., a global semiconductor company, from 1999 to 2008, holding roles of increasing responsibility within the organization, including serving as Vice President and Corporate Controller. Mr. Johnsen serves as a Trustee of the University of Southern California and holds a B.S. in Accounting from the University of Southern California and an M.S. in Finance from San Diego State University, and he is a Certified Public Accountant (CPA).

Ownership and controlled company status

SpaceX's dual share class structure means CEO Elon Musk retains significant control of SpaceX following its IPO. Post offering and including greenshoe, Mr. Musk retains 82.3% of voting power as a result of his holding 91.6% of Class B common stock. SpaceX is deemed a controlled company under NASDAQ listing rules as a result of this concentrated ownership. We do not expect this structure to change significantly over time.

Price objective basis & risk

Space Exploration Technologies Corp. (SPCX)

Our PO of $235 is based on an average long-term DCF of our base, bull, and bear cases for different revenue and cash generation scenarios between now and 2045. Our DCF factors in an 18% discount rate in the base case, 28% discount rate in the bull case, and 14% discount rate in the bear case and assigns an equal weighting to each case. Our DCF factors in a long-term growth rate of 5% in the base, bull, and bear cases. In our view, the varied discount rates fairly reflect the relative uncertainty associated with each scenario, with base case discount rate in line with the median of the peer group, bull case discount rate in line with the higher growth and higher risk peers, and bear case discount rate in line with more established, lower execution risk peers.

Upside risks to our PO are better-than-expected cost cutting and margin expansion, well-integrated M&A activity, market share gains among launch, satellite services, and/or AI applications, and better-than-expected commercialization of the Starship launch vehicle.

Downside risks to our PO are production delays, inability to achieve M&A synergies, potential impact to capex / FCF from space systems and/or AI investments, regulatory risks to launch cadence and/or satellite service deployment, and setbacks to Starship and/or satellite program development..

Analyst Certification

I, Ronald J. Epstein, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Aerospace and Defense Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AerCap Holdings N.V.	AER	AER US	Ronald J. Epstein
	AeroVironment	AVAV	AVAV US	Ronald J. Epstein
	AEVEX Corp.	AVEX	AVEX US	Ronald J. Epstein
	Applied Aerospace & Defense	AADX	AADX US	Ronald J. Epstein
	Axon Enterprise Inc	AXON	AXON US	Mariana Perez Mora
	BETA Technologies	BETA	BETA US	Ronald J. Epstein
	Boeing	BA	BA US	Ronald J. Epstein
	Bombardier	BDRBF	BDRBF US	Ronald J. Epstein
	Bombardier Inc.	YBBD B	BBD/B CN	Ronald J. Epstein
	BWX Technologies, Inc.	BWXT	BWXT US	Ronald J. Epstein
	CACI International	CACI	CACI US	Mariana Perez Mora
	Crane Co.	CR	CR US	Ronald J. Epstein
	Elbit Systems Ltd	XEBLF	ESLT IT	Ronald J. Epstein
	Elbit Systems Ltd	ESLT	ESLT US	Ronald J. Epstein
	Embraer	EMBJ	EMBJ US	Ronald J. Epstein
	GE Aerospace	GE	GE US	Ronald J. Epstein
	General Dynamics	GD	GD US	Ronald J. Epstein
	HEICO Corporation	HEI	HEI US	Ronald J. Epstein
	Howmet Aerospace Inc.	HWM	HWM US	Ronald J. Epstein
	L3Harris	LHX	LHX US	Ronald J. Epstein
	Leonardo DRS, Inc.	DRS	DRS US	Ronald J. Epstein
	Northrop Grumman	NOC	NOC US	Ronald J. Epstein
	OSI Systems	OSIS	OSIS US	Mariana Perez Mora
	Palantir Technologies	PLTR	PLTR US	Mariana Perez Mora
	Parsons Corporation	PSN	PSN US	Mariana Perez Mora
	RBC Bearings Inc	RBC	RBC US	Ronald J. Epstein
	Rocket Lab	RKLB	RKLB US	Ronald J. Epstein
	RTX Corp	RTX	RTX US	Ronald J. Epstein

US - Aerospace and Defense Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Space Exploration Technologies Corp.	SPCX	SPCX US	Ronald J. Epstein
	Teledyne Technologies Inc	TDY	TDY US	Mariana Perez Mora
	TransDigm Group Inc.	TDG	TDG US	Ronald J. Epstein
	V2X	VVX	VVX US	Mariana Perez Mora
	Voyager Technologies	VOYG	VOYG US	Ronald J. Epstein
NEUTRAL				
	Amentum	AMTM	AMTM US	Mariana Perez Mora
	CAE Inc.	YCAE	CAE CN	Ronald J. Epstein
	CAE Inc.	CAE	CAE US	Ronald J. Epstein
	HawkEye 360	HAWK	HAWK US	Ronald J. Epstein
	Hexcel Corporation	HXL	HXL US	Ronald J. Epstein
	Huntington Ingalls Industries	HII	HII US	Ronald J. Epstein
	KBR	KBR	KBR US	Mariana Perez Mora
	Leidos Holdings	LDOS	LDOS US	Mariana Perez Mora
	Lockheed Martin	LMT	LMT US	Ronald J. Epstein
	StandardAero	SARO	SARO US	Ronald J. Epstein
	Textron	TXT	TXT US	Ronald J. Epstein
UNDERPERFORM				
	Albany International	AIN	AIN US	Ronald J. Epstein
	Booz Allen Hamilton	BAH	BAH US	Mariana Perez Mora
	Cadre Holdings Inc	CDRE	CDRE US	Ronald J. Epstein
	Garmin	GRMN	GRMN US	Ronald J. Epstein
	Intuitive Machines	LUNR	LUNR US	Ronald J. Epstein
	Redwire Corp	RDW	RDW US	Ronald J. Epstein

*iQ*method℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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Disclosures

Important Disclosures

Equity Investment Rating Distribution: Telecommunications Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	55	53.92%	Buy	38	69.09%
Hold	19	18.63%	Hold	13	68.42%
Sell	28	27.45%	Sell	20	71.43%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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